



The Sherman Act and Labor Disputes: I

Author(s): Louis B. Boudin

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THE SHERMAN ACT AND LABOR DISPUTES: I.

The controversy which has been raging for nearly fifty years as to whether or not the federal anti-trust laws were intended to apply, or were properly applied, to labor disputes, has received new impetus from the recent decisions in the *Apex Hosiery* case, which is still awaiting final determination at the hands of the United States Supreme Court. In fact, the first decision of the Circuit Court of Appeals for the Third Circuit,¹ which had unsettled what had hitherto been considered settled law, at least in principle, makes that controversy perhaps as acute today as it ever was during its long history.

In fact the controversy is now *more* acute than ever, due to the fact that the United States Department of Justice has caused a number of labor unions to be indicted under the Anti-Trust Laws. And while it is generally understood that the United States Attorney General's office disapproved of the district court's ruling in the *Apex* case, a statement issued by Mr. Thurman Arnold, Assistant Attorney General in charge of the Anti-Trust Division of the Department of Justice makes it clear that the federal government intends to intervene vigorously in labor disputes by the use of the Federal Anti-Trust Laws in cases which, in the opinion of the Attorney General's office, the conduct of the labor union "unreasonably" restrains interstate commerce. In a letter to an official of a labor union Mr. Thurman Arnold listed five practices which in his opinion constituted unreasonable restraint of interstate commerce. These are:

"1. Unreasonable restraints designed to prevent the use of cheaper material, improved equipment or more efficient methods. . . .

"2. Unreasonable restraints designed to compel the hiring of useless and unnecessary labor. . . .

¹ *Apex Hosiery Co. v. Leader*, 90 F.(2d) 155 (C. C. A. 3d, 1937). The decree in the case was reversed because the cause had become moot. *Leader v. Apex Hosiery Co.*, 302 U. S. 656 (1937) (memorandum opinion). On retrial a judgment was entered in favor of the plaintiff-employer against the union-defendant in an action for triple damages under Section 7 of the Sherman Act, 26 STAT. 209 (1890), 15 U. S. C. § 7 (1934). See (1939) 39 COLUMBIA LAW REV. 1247. This judgment was reversed on November 29, 1939, on the grounds that there had not been an intent to restrain interstate commerce and actual restraint, if any, was local in nature. N. Y. Times, Nov. 30, 1939, p. 15, col. 1 (C. C. A. 3d).

"3. Unreasonable restraints designed to enforce systems of graft and extortion. . . .

"4. Unreasonable restraints designed to enforce illegally fixed prices. . . .

"5. Unreasonable restraints designed to destroy an established and legitimate system of collective bargaining. . . ."²

Notwithstanding its long history, however, and its voluminous literature, we believe that the question has never been considered from one of its most important angles. Nor—strange as the assertion may sound—has the matter, in our opinion, been adequately presented to the United States Supreme Court from any aspect, notwithstanding the fairly large number of cases on the subject that has reached that Court. The best general discussion of the subject is contained in the late Professor Edward Berman's well-known book, *Labor and the Sherman Act*.³ But Professor Berman's book suffers from two defects: one, an error of historical fact—the question of the authorship of the Sherman Act; and the other, a sufficient acquaintance with the history of the law of the subject. The first has not affected his conclusions. It has, however, led to an understatement of a correct inference, and has somewhat weakened the force of his judgment upon the mind of his readers. His lack of familiarity with the history of the law of the subject, on the other hand, has led him to leave entirely unconsidered what we believe to be the most important phase of the subject. This is not meant as a criticism of Professor Berman. For, as we shall see later, his lack of familiarity with the history of the law of the subject was apparently shared by two chief justices of the United States Supreme Court, one of them speaking for a unanimous court. These two errors, shared by all the writers on the subject with whom we are familiar, vitiate their entire discussion, both lay and professional.

The discussion has turned mainly on the intention of the "Framers". That, of course, makes the question of the real authorship of the Sherman Act of prime importance.⁴ But the question of the history of the law of the subject is much more important: for, whoever the author, his intentions could clearly be understood only in the light of

² N. Y. Times, November 20, 1939, p. 1, col. 4; *id.* p. 12, cols. 1, 2.

³ 1930.

⁴ The matter is much more important from Professor Berman's point of view than from our own. Professor Berman looked at the matter purely from the point of view of the attitude of the two contenders for the authorship of the Sherman Act towards labor, and in that connection there was a substantial difference between Senators Edmunds and Hoar. From our point of view, however, this divergence of opinion between the two Senators is not of such great importance, since, as may be seen further below, Senator Edmunds agreed with Senator Hoar that the terms used in the Sherman Act were intended to have their common law significance. This would, if our view of the common law be correct, makes the Act inapplicable to labor disputes irrespective of the attitude towards labor of the authors of the Act.

that history. This is our excuse for reopening the subject as a historical problem. But it is also excuse enough to reopen the subject from the practical point of view—looking to a possible change of decision by the United States Supreme Court if the erroneous basis of its previous decisions be brought to its attention, aside from any other considerations that may exist for such a change.

I. THE INTENTION OF THE FRAMERS—JUDICIAL UTTERANCES ON THE SUBJECT

Professor Berman's book contains an excellent summary of the argument as to the intent of Congress with respect to the inclusion of labor organizations within the purview of the Sherman Act, in so far as that intent may be gleaned from express references to the question of labor organizations in the debates which preceded the adoption of that Act.⁵ His inquiry leads him to the following conclusion:

"On the basis of the congressional debates described in the preceding chapter and the analysis to which they have been subjected in the present one, it is believed that no valid evidence can be found in the records of the legislative proceedings that Congress intended the Anti-trust Act to apply to labor organizations".⁶

This we believe to be a decided understatement: the evidence, we believe, conclusively shows that labor organizations were not intended to be included within the purview of the Act. Professor Berman's understatement is due, as we have already stated, to an error with respect to the authorship of the Sherman Act plus his erroneous conception of the history of the law of the subject. Both of these questions will be considered in detail further below. But at this point we shall quote a passage showing his conception of the law, by way of introduction to the utterances of the courts on the subject of legislative intent, and to show how intimately that subject is bound up with the question of the historically derived meaning of the words used. Says he:

⁵ The omission by Professor Berman of one argument on the labor side must be noted, however. Professor Berman relies strongly on the fact that Senators Hoar and George, who were members of the Judiciary Committee which drafted the bill in its final form, were strongly pro-labor and would not, therefore, have been in favor of the act as it now stands if they had thought that it would include labor. But the case is much stronger on the side which he takes, since, as will be seen further below, the motions to exempt included not only labor but also agricultural organizations. Therefore, if the defeat of those motions meant the inclusion of the organizations thereby attempted to be excluded from the purview of the act, farmers' organizations would also be included; and certainly no one would contend that the Congress which adopted the Sherman Act intended to include farmers' organizations within its purview.

⁶ BERMAN, *LABOR AND THE SHERMAN ACT* (1930) 51.

"The courts, *had they confined themselves exclusively to the meaning of the term 'restraint of trade'*, might justifiably have concluded that the statute embraced labor unions. Congress might then have properly received more of the blame for the application of the act to labor, since it chose a phraseology which did not accurately convey its purpose. The courts which laid down the precedent for so applying the act did not, however, confine their attention exclusively to its terminology. The meaning of that terminology evidently seemed sufficiently uncertain to them to require that some attention be given to the congressional debates. Thus, the lower courts, in the *Amalgamated Council* case and in one of the *Debs* cases, and the Supreme Court in *Loewe v. Lawlor* indicated by their decisions that they had taken the debates into account in reaching the conclusion that the act was meant to embrace labor organizations. It is difficult to see how, had they made a searching examination of the Congressional Record, they could have reached such a conclusion. The courts would have been legally justified in not going behind the terminology of the act. They did go behind it, however, and having done so, they are to be criticized for having reached untenable conclusions as to the intent of Congress."

The first time our question came before the courts was in the first case mentioned by Professor Berman, the *Amalgamated Council* case.⁸ In that case, one of the first to come before the courts under the Sherman Act, the judge before whom the case was heard at Circuit said:

"I think the congressional debates show that the statute had its origin in the evils of massed capital; but, when the Congress came to formulating the prohibition which is the yardstick for measuring the complainant's right to the injunction, it expressed it in these words: 'Every contract or combination in the form of trust, or otherwise in restraint of trade or commerce among the several states or with foreign nations, is hereby declared to be illegal.' The subject had so broadened in the minds of the legislators that the source of the evil was not regarded as material, and the evil in its entirety is dealt with. They made the interdiction include combinations of labor as well as of capital; in fact, all combinations in restraint of commerce, without reference to the character of the persons who entered into them. It is true this statute has not been much expounded by judges, but, as it seems to me, its meaning, as far as relates to the sort of combinations to which it is to apply, is manifest, and that it includes combinations which are composed of laborers acting in the interest of laborers."

This language of the Circuit judge was quoted with approval by the United States Supreme Court in *Loewe v. Lawlor*,¹⁰ and the quotation was preceded by the following statement made by the Court on its own account:

⁷ *Id.* at 53 (italics added).

⁸ *United States v. Workingmen's Amalgamated Council*, 54 Fed. 994 (C. C. E. D. La. 1893).

⁹ *Id.* at 996.

¹⁰ 208 U. S. 274 (1908).

"Nor can the act in question be held inapplicable because defendants were not themselves engaged in interstate commerce. The act made no distinction between classes. It provided that 'every' contract, combination, or conspiracy in restraint of trade was illegal. *The records of Congress show that several efforts were made to exempt, by legislation, organizations of farmers and laborers from the operation of the act, and that all these efforts failed, so that the act remained as we have it before us.*"¹¹

The "records of Congress" show nothing of the kind, as is conclusively proven by the abstract of that record contained in Professor Berman's book, and as anyone can find out for himself if he takes the trouble to look at the original record. As will be shown later, the Court was misled into its error, amazing as it may seem, by the counsel for the labor union in the case, who not only did not take the trouble of looking into that record, but even permitted the other side to present to the Court an utterly false and misleading account of the record without challenging its correctness. We do not know whether there is any record of the arguments made in this connection before Circuit Judge Billings in the *Amalgamated Council* case, and so do not know whether either side attempted to quote from the congressional debates. But we do know that in the *Danbury Hatters'* case¹² Messrs. James M. Beck and Daniel Davenport, counsel for Loewe, presented in their brief a garbled and highly misleading account of these debates, and that these statements were left completely unanswered in the brief of counsel for the union. This led Professor Berman to remark:

"One cannot leave the discussion of the argument of counsel in the case without calling attention to the failure of the attorneys for the workers to present their case properly. They permitted counsel for the firm to present a misleading account purporting to show that Congress intended that the act should apply to labor; and they made no effective answer to that account. An adequate presentation of the Hatters' case to the Supreme Court might have greatly changed the history of labor cases since 1908."¹³

We shall not attempt here to go over these debates, as they have been fully covered by Professor Berman. However, a summary is given in the margin.¹⁴

¹¹ *Id.* at 301. (Italics added).

¹² *Loewe v. Lawlor*, 208 U. S. 274 (1908.)

¹³ BERMAN, *op. cit.* *supra* note 6, at 86.

¹⁴ The most important point to be noted about these debates is that there was no mention whatever of the possible application of the Act to labor after the Act had been reported by the Judiciary Committee in its final form. The statement by Judge Billings in the *Amalgamated Council* case and by the Supreme Court in the *Danbury Hatters'* case that motions to amend the Act so as to make it inapplicable to labor unions had been defeated or dropped is, therefore, absolutely incorrect. Whatever debate there was with reference to the inclusion or exclusion of labor related

II. WHO WAS THE AUTHOR OF THE SHERMAN ACT?

It is clear from the abstract of the congressional debates as given by Professor Berman and summarized in our last footnote, that the

to an entirely different bill. That bill had been introduced by Senator John Sherman, who was Chairman of the Senate Finance Committee, and was entitled "A Bill to *Declare Unlawful* Trusts and Combinations in Restraint of Trade and *Production*." 21 CONG. REC. 96 (1889) (italics added). That bill was referred to the Finance Committee and the discussion with respect to labor occurred when it was reported, with amendments, by Senator Sherman on behalf of that Committee. The most important part of that bill as so reported was as follows:

"That all arrangements, contracts, agreements, trusts, or combinations between two or more citizens or corporations . . . of different States, or . . . of the United States and foreign states, . . . made with a view or which tend to prevent full and free competition in the importation, transportation, or sale of articles imported into the United States, or with a view or which tend to prevent *full and free competition in articles of growth, production, or manufacture* of any State or Territory, . . . or in the transportation or *sale of like articles* . . . ; and all arrangements, trusts, or combinations between such citizens or corporations, made with a view or which tend to advance the cost to the consumer of any such articles, are hereby declared to be against public policy, unlawful, and void." 21 CONG. REC. 2455 (1890).

In the course of the debate every senator who spoke on the subject, with the exception of Senator Edmunds, expressed himself as opposed to the application of the proposed law to labor unions or farmers' organizations, and expressed the belief that the entire Senate concurred in that view. Senator Edmunds was the only one to dissent, apparently being of the belief that if the proposed law would succeed in preventing the organization of trusts, labor organizations would become unnecessary. In the course of the debate Senator Sherman offered a proviso specifically exempting labor and farmers' organizations from the operation of the bill, saying "*I do not think it (i.e., the proviso) necessary, but at the same time, to avoid any confusion, I submit it to come in at the end of the first section.*" 21 CONG. REC. 2611 (1890) (italics added). Speaking to this amendment, Senator Edmunds said:

". . . if capital and plants and manufacturing industries organize to *regulate* and so to repress and diminish, if you please, below what it ought to be, the price of all the labor everywhere that is engaged in that kind of business, labor must organize to defend itself on the other side. . . . However, the whole thing is wrong as it appears to me; and so I think the amendment is wrong in the same way, which says that while the capital and the plant in any enterprise shall not combine to defend and protect itself, to increase the price of the product of that capital and plant, the labor which is essential to the *production* of that plant may combine to increase the *price* of the work that is to be done to make the production of that enterprise." 21 CONG. REC. 2727 (1890) (italics added).

Senators George and Hoar were particularly emphatic in defense of the amendment specifically exempting labor organizations. Senator Hoar said:

"I hold . . . that as legislators we may constitutionally, properly, and wisely allow laborers to make associations, combinations, contracts, agreements for the sake of maintaining and advancing their wages, in regard to which, as a rule, their contracts are to be made with large corporations who are themselves but an association or combination or aggregation of capital on the other side. When we are permitting and even encouraging that, we are permitting and encouraging what is not only lawful, wise, and profitable, but absolutely essential to the existence of the commonwealth itself.

"When, on the other hand, we are dealing with one of the other classes, the combinations aimed at chiefly by this bill, we are dealing with a transaction the only purpose of which is to extort from the community, monopolize, segregate, and *apply to individual use, for the purposes of individual greed, wealth which ought properly and lawfully and for the public interest to be generally diffused over the whole community.*" 21 CONG. REC. 2728 (1890) (italics added).

The amendment specifically exempting labor and farmers' organizations was

authorship of the Sherman Act is of prime importance in considering the question of the intent of Congress, at least from Professor Berman's own point of view. According to Berman, Congress can be held partly or wholly responsible for the misuse of the Sherman Act because of the terms in which it expressed its intent. The question, who chose those terms, and what they meant to him, is, therefore, of the utmost importance in this discussion.¹⁵ It will be recalled that Senator Edmunds was the only senator who objected to the exclusion of labor organizations from the operation of the law at the time when the original Sherman Act was under discussion *when the bill dealt with the problem of enhancing the price of commodities rather than with restraints of trade*. At that stage of the debates Senator Edmunds expressed the view that if a law was to be passed condemning all agreements or combinations which tended to raise the price of commodities, neither labor nor farmer organizations ought to be excluded, since the raising of wages and the raising of prices of farm products by agreement or combination tended as much to raise the prices of commodities as did similar agreements or combinations of any other class. It is true that that bill, the original Sherman Act, was completely discarded, and a new bill, drawn by the Committee on Judiciary, substituted, and that the new bill did not deal either with production or the raising of prices. But Senator Edmunds was Chairman of the Judiciary Committee, and it is therefore to be supposed that his general attitude, which apparently was opposed to making an exception of labor organizations, had some

adopted by the Senate, sitting in Committee of the Whole. 21 CONG. REC. 2612 (1890). After further amendments had been adopted, the bill was sent to the Judiciary Committee, of which Senator Edmunds was Chairman, and Senators George and Hoar were members. This Committee dropped entirely the bill which had been reported from the Finance Committee and debated in the manner already stated, and drew an entirely new bill—a bill which in legal significance was on an entirely different plane from the one which had been reported by the Finance Committee. The principal difference lay in the fact that it did not refer to *production* and did not prohibit the enhancement of *prices* as such. When this new bill, which is the present Sherman Act, came before the Senate *there was no further reference to the possibility of its including either labor or farmers' organizations*. Nor was there any reference to the subject when the bill came before the House, which after some attempts to amend it in other respects, finally adopted the bill as it came from the Senate Judiciary Committee. It is Professor Berman's opinion that the reason the defenders of labor, such as Senators George and Hoar, agreed to the bill and did not attempt to introduce the amendment which had already been adopted by the Senate exempting labor and farmers' organizations, was that, in the opinion of these senators, the bill in its final form could not possibly be considered as applicable to labor; it was the prohibition of the enhancement of prices, the gravamen of the original bill, that raised the doubts with respect to labor and which prompted Senator Sherman to offer his proviso in order to remove all doubt. BERMAN, *op. cit.* *supra* note 6, chap. III. That this opinion is correct is evident not only from an examination of the debates, but also from a consideration of the terms of the new bill itself, as will appear further below.

¹⁵ See, however, note 4, *supra*.

weight with the Committee. To this vague surmise should be added the fact that about two and a half years after the present Act had been drafted by the Judiciary Committee, Senator Edmunds gave a newspaper interview in which he is reported to have said that the Act was "intended to and I think will cover every form of combination that seeks to in any way interfere or restrain *free competition*, whether it be capital in the form of trusts, combinations, *railroad pools or agreements*, or labor through the form of *boycotting* organizations that say a man shall not earn his bread unless he joins this or that society. Both are wrong. Both are crimes, and indictable under the anti-trust law."¹⁶

It has been claimed—and Professor Berman believes it to have been proven—that Senator Edmunds was the real author of the Sherman Act in its present form. And this, as already stated, has led him to an understatement of his conclusions as to the intent of Congress. But this assertion is entirely erroneous. *Not Senator Edmunds, but Senator Hoar was the author of the Sherman Act.* The general belief that Senator Edmunds was the author of the Act is based on the foreword (presumably supplied by the editor) to an article on the Sherman Act by Senator Edmunds in the *North American Review* for December, 1911. The evidence of Senator Edmunds' authorship of the Sherman Act supplied in that foreword, which Berman apparently deemed conclusive, seems to us of little probative value. However, whatever might have been thought of this evidence in the absence of any evidence to the contrary, that evidence goes for naught in the face of a direct and really conclusive piece of evidence of which Berman was evidently unaware. Before considering this decisive piece of evidence, it should be noted that Senator Edmunds himself did not claim authorship of the Sherman Act, but "modestly" disclaimed it—to use the language of the writer in the *North American Review*—stating that every member of the Judiciary Committee contributed something towards the Act in its final form. With Senator Edmunds' own disclaimer duly noted, Senator Hoar's absolute and unequivocal claim of authorship becomes decisive on the question. And Senator Hoar did make just that claim. In his Autobiography, he says:

"Mr. Sherman's bill found little favor with the Senate. It was referred to the Judiciary Committee of which I was then a member. I drew as an amendment the present bill which I presented to the Committee. There was a good deal of opposition to it in the Committee. Nearly every member had a plan of his own. But at last the Committee came to my view and reported the law of 1890. The House disagreed to our bill and the matter went to a Conference Committee, of which Mr. Edmunds, the Chairman of the Committee, and I, as

¹⁶ Chicago Inter-Ocean, November 21, 1892, cited in BERMAN, *op. cit. supra* note 6, at 39. (Italics added).

the member of the Committee who was the author of the bill, were members. The House finally came to our view.”¹⁷

Those who know something of Senator Hoar’s character need no further evidence than this unequivocal public statement. But if any further evidence were necessary, such evidence is furnished by the Congressional Record—the official record of the proceedings in the United States Senate—after the bill had been drawn in its final form by the Judiciary Committee. Before proceeding, however, to discuss that evidence, it should be pointed out here that Senator Hoar’s autobiography appeared in 1904, when a number of Senators who had served with Hoar and Edmunds on the Judiciary Committee, as well as Senator Edmunds himself, were still alive. On the other hand, the claim of authorship put forward on behalf of Senator Edmunds was made in 1911, when not only Senator Hoar but all the other senators except Edmunds who had served on the Judiciary Committee when the Sherman Act was framed, were dead. Edmunds himself, as we have seen, specifically disclaimed such authorship. Under such circumstances the disclaimer must have been due to fact and not to “modesty”. We may now turn to the Congressional Record for additional light. And the light which the Congressional Record throws on the subject bears out Senator Hoar’s claim.

The original bill was introduced by Senator Sherman, who was Chairman of the Senate Committee on Finance, and was referred to that Committee. It was reported on behalf of the Committee by Senator Sherman and he remained in charge of the bill until it was referred to the Committee on Judiciary. When the bill was reported in its final form by the Committee on Judiciary, it should have been in charge of Senator Edmunds, the Committee’s Chairman, but the record shows that instead of Senator Edmunds, *Senator Hoar was in charge of the bill during its progress through the Senate in its final form.* The bill was reported from the Judiciary Committee on April 2 by Senator Edmunds, but all that he did was to state that the bill had been drawn by the Committee. *When the bill was taken up for consideration, on April 8, Senator Hoar was in charge.* Senator Sherman again made a brief statement, as follows:

“I do not intend to open any debate on the subject, but I wish to state that, after having fairly and fully considered the amendment proposed by the Committee on the Judiciary, I shall vote for it, not as being precisely what I want, but as the best under all the circumstances that the Senate is prepared to give in this direction. Therefore, without enlarging or entering into debate, I shall vote for the proposition of the Judiciary Committee as it stands.”¹⁸

¹⁷ II HOAR, AUTOBIOGRAPHY OF SEVENTY YEARS (1903) 364.

¹⁸ 21 CONG. REC. 3145 (1890).

And with that he left it to Senator Hoar to explain what the proposition of the Judiciary Committee really was. In explaining the purpose and intent of the Judiciary Committee in its bill, Senator Hoar said:

"The complaint which has come from all parts and all classes of the country of these great monopolies, which are becoming not only in some cases an actual injury to the comfort of ordinary life, but are a menace to republican institutions themselves, has induced Congress to take the matter up. I suppose no member of this body who remembers the history of the processes by which this bill reached the shape in which it went to the Judiciary Committee will doubt that the opinion of Senators, themselves, of able and learned and experienced lawyers, were exceedingly crude in this matter. . . .

*"Now the Judiciary Committee has carefully and as thoroughly as it could agreed upon what we believe will be a very efficient measure, under which one long forward step will be taken in suppressing this evil. We have affirmed the old doctrine of the common law in regard to all interstate and international commercial transactions, and have clothed the United States courts with authority to enforce that doctrine by injunction."*¹⁹

Later on in the course of the debate Senator Edmunds took a hand, not to explain the meaning of anything contained in the bill, but merely in an attempt to induce another senator not to offer an amendment to a portion of the bill which has nothing to do with the meaning of its basic terms. And at this point an extremely significant incident occurred: A question was put directly to Senator Edmunds. Although he was actually answering it, Senator Hoar intervened, as if he thought it his duty to carry the burden of the explanation, and the rest of the discussion was between him and the inquiring Senator, except for a concluding remark by Senator Edmunds.²⁰

It is, therefore, beyond dispute that Senator Hoar was the author of the Act. This is important not merely because of his position on the question of labor, it is also important because it was he who chose the words upon the meaning of which all the decisions must turn. But even more important than that is the fact that in explaining to the Senate the purpose and meaning of the bill he used language which we believe to be decisive of the entire question, *and used it in the presence of Senator Edmunds as well as the other members of the Judiciary Committee*, who must have been in agreement with his statement.²¹

¹⁹ 21 CONG. REC. 3146 (1890) (italics added).

²⁰ 21 CONG. REC. 3151, 3152 (1890).

²¹ Senator Edmunds, indeed, may be said to have expressly agreed to Senator Hoar's explanation, although he did not use the same language that Senator Hoar used. At one point in the discussion, he said: "We all felt it, and the committee, I think unanimously, including my friend from Mississippi, thought that if we were really in earnest in wishing to strike at these evils broadly, in the first instance, as a

We believe the significant language to be so decisive of the entire question, that we shall quote it again:

"We have affirmed *the old doctrine of the common law* in regard to all interstate and international commercial transactions, and have clothed the United States courts with authority to enforce that doctrine by injunction".²²

III. THE FIRST BRACE OF CASES

It is a curious commentary on the course of the judicial history of the Sherman Act, that while historians agree that the Act was not intended to apply to labor organizations, and *all* must agree that its application to labor organizations was certainly not one of the moving purposes in its enactment, *such was actually the first effective use made of it by the courts*. The *Amalgamated Council* case,²³ although not the first actually brought under the Sherman Act, was one of the first pair of cases in which the courts rendered opinions with respect to its meaning—the other one being the case of *United States v. Patterson*,²⁴ a prosecution against the cash register trust.

In a way, these two cases are symbolic of the entire course of litigation and judicial decisions under the Sherman Act, both as to the arguments of counsel and as to court opinions. The labor cases have all been characterized by the poor quality of the arguments presented by the counsel representing labor as well as by the poor quality of the opinions rendered by the courts. It would almost appear that the courts did not think the cases important enough to write careful or elaborate opinions. All of which is in striking contrast to the cases involving the aggregations of capital against whom the laws were primarily, if not exclusively, intended: they were most carefully argued by the foremost leaders of our bar and as carefully decided. We have already referred to the fact that we have not seen the arguments of counsel in the *Amalgamated Council* case: they were apparently not deemed worthy of being recorded by the official reporter. But the arguments of counsel in the *Patterson* case occupy some thirty-three pages out of the thirty-seven pages of the official record of the case. This is stated not by way of complaint against the reporter. On the contrary, we believe that those arguments deserved all the space given them in the official record. But the circumstance goes far to explain the remarkable result in the

new line of legislation, we would frame a bill that should be clearly within our constitutional power, *that we should make its definition out of terms that were well known to the law already*. . . ." 21 CONG. REC. 3148 (1890) (italics added).

²² 21 CONG. REC. 3146 (1890) (italics added).

²³ *United States v. Workingmen's Amalgamated Council*, 54 Fed. 994 (C. C. E. D. La. 1893).

²⁴ 55 Fed. 605 (C. C. D. Mass., 1893).

two classes of cases—a result which is the marvel of historians. And what we have said of the arguments of counsel applies also to the character of the opinions rendered in these two cases. Judge Billings' opinion in the *Amalgamated Council* case is slipshod, quite aside from his utterly unfounded remarks as to the congressional debates which preceded the adoption of the Sherman Act. But Judge Putnam's opinion in the *Patterson* case, even though not as extended as some of the opinions in the later trust cases, is a model of clarity, and bears intrinsic evidence that he had given the subject the thought which it deserved. This case, therefore, deserves most careful study by all students of our subject.

The facts in the case were, briefly stated, as follows: The American Cash Register Company and others, constituting the cash register trust, were indicted on several counts, which charged, in substance, that the defendants had conspired to monopolize the trade in cash registers, and that in order to achieve their purpose they had used unfair means of competition, *including certain acts which amounted to torts or crimes*. The indictment also alleged in separate counts that the defendants had conspired to drive certain of its competitors out of business by tortious or criminal means.

Apparently, these competitors of the American Cash Register Company were the real instigators of the prosecution, and they were permitted to appear on the argument by their own counsel, among whom was Mr. Elihu Root. That the trust was represented by able counsel goes without saying. Elaborate briefs were submitted by four sets of counsel, in which the question was argued from every possible angle—but the predominant question was the meaning at common law of the terms used in the Sherman Act.

In order that we may understand the court's decision, we must take note of the position of the respective counsel as to the ambit of the Sherman Act. The position of the government and of the special counsel for the prosecuting concerns, was, substantially, that the Sherman Act covered not only *agreements in restraint of trade*, technically so called, which were void under the common law as agreements, but also all *acts* or combinations to restrain trade, or injure the trade of a competitor, which were tortious or criminal under the common law. Counsel for the defendants, on the other hand, contended that the Act was limited to what they designated as "contractual crimes", that is to say, acts which resulted from, or were committed in the course of the carrying out of, *agreements in restraint of trade*. The cash register trust apparently had used more forceful means in effecting its purpose than the making of agreements, and if the latter contention as to the meaning

of the Sherman Act had been upheld, the indictment could not have been sustained.

The court rejected both contentions, giving its own interpretation of the Act. It dismissed some of the counts of the indictment, and sustained others. The theory of the Act expounded by Judge Putnam in his opinion seems to us to be absolutely sound. A careful analysis of the salient portion of his opinion, which appears in the margin,²⁵ will show the following: to begin with, in Section 1, which deals with *restraints*, the combinations and conspiracies therein mentioned "receive color" from the third member of the trilogy, *agreements*. In other words, we are not dealing with torts or crimes, or tortious or criminal acts, but with certain problems of trade; and, therefore, the application of the Act does not depend upon the *means* used. The Act, therefore, does not cover any acts, whether of individuals or combinations, the legal or illegal character of which depended on the *means*

²⁵ *Id.* at 640. "I think, it is useful to analyze the statute. Separating it into parts, we have—First, contract in restraint of trade; second, combination in restraint of trade; and, third, conspiracy in restraint of trade. There can be no question that the second and third parts, as thus put, receive color from the first. Moreover, it is important to note the rule that this whole statute must be taken together. The second section is limited by its terms to monopolies, and evidently has as its basis the engrossing or controlling of the market. The first section is undoubtedly in *pari materia*, and so has as its basis the engrossing or controlling of the market, or of lines of trade. The sixth section also leads in the same direction, because it provides for the forfeiture of property acquired pursuant to the conspiracy. Undoubtedly the word 'conspiracy' in that section has reference to the same subject-matter as in the first. If the intention of the statute was that claimed by the United States, I think the natural phraseology would have been 'to injure trade,' 'to restrain trade.'

"We are now at the point where the paths separate. Careless or inapt construction of the statute as bearing on this case, while it may seem to create but a small divergence here, will, if followed out logically, extend into very large fields; because, if the proposition made by the United States is taken with its full force, the inevitable result will be that the federal courts will be compelled to apply this statute to all attempts to restrain commerce among the states, or commerce with foreign nations, by strikes or boycotts, and by every method of interference by way of violence or intimidation. It is not to be presumed that congress intended thus to extend the jurisdiction of the courts of the United States without very clear language. Such language I do not find in the statute. Therefore I conclude that there must be alleged in the indictment that there was a purpose to restrain trade as implied in the common-law expression, 'contract in restraint of trade,' analogous to the word 'monopolize' in the second section. I think this is the basis of the statute. It must appear somewhere in the indictment that there was a conspiracy in restraint of trade by engrossing or monopolizing or grasping the market, and it is not sufficient simply to allege a purpose to drive certain competitors out of the field by violence, annoyance, intimidation, or otherwise.

"Something has been said in this connection touching the debates in congress. It is apparently settled law that we cannot take the views or purposes expressed in debate as supplying the construction of statutes. In *U. S. v. Union Pac. R. Co.*, 91 U. S. 72-79, and elsewhere, the supreme court has laid down this rule. But this does not at all touch the question whether or not one can gather from the debates in congress, as he can from any other source, the history of the evil which the legislation was intended to remedy. The debates on this point are very instructive; but

used. That would exclude injuries to the trade of particular persons or corporations, unless those injuries were the result of agreements, combinations, or conspiracies directed against the public at large. In other words: *the statute deals with injuries to the public and not with injuries to individuals*, even though individuals who are injured by reason of agreements, combinations or conspiracies, against the public are entitled to redress. In this connection, it must be remembered that at common law "agreements in restraint of trade" had a technical meaning, *and the reason for their illegality was the public interest*. A conspiracy to injure a particular person in his property, trade, or occupation was tortious or criminal under the common law, *but it belonged to a different department of the law from "agreements in restraint of trade"*. In this connection, Judge Putnam pointed to the fact that the Act does not prohibit any agreements, combinations, or conspiracies "to injure trade" or "to restrain trade", but "*in restraint of trade*". As will be pointed out further below, the term "agreements in restraint of trade" meant, at common law, an agreement by persons to restrain *their own* trade. They could not, therefore, involve any tortious or criminal means, and were only illegal (or rather, void) because they were considered against the public interest. A combination or conspiracy *to injure* somebody else's trade, where the combination or conspiracy was directed against a particular person, was only illegal when the means employed were in themselves illegal, in the sense of *tortious*, and the subject-matter of such conspiracies belonged to the domain of torts rather than the domain of agreements in restraint of trade.

The second point made by Judge Putnam was that the first section is in *pari materia* with the second section, which deals with *monopolies*. In other words, *the entire statute is a monopoly statute*, intended and designed to protect the public against monopolies. Therefore, only such acts—whether by way of "agreement", "combination", or "conspiracy"

they fail to point out precisely what incidents or details of the great evil under consideration were to be reached by this legislation.

"What I have already said disposes of counts 5 and 10, which do not allege any purpose except to destroy the competition of four corporations named; and they leave for consideration only the counts 4 and 9, which do allege a purpose of engrossing, monopolizing, or grasping the trade in question. Such being the case, acts of violence and intimidation may be alleged as means to accomplish the general purpose. Instead of lying outside of the statute, they may aggravate the offense. They are within the logic and spirit of the statute, which are not to be defeated by distinctions which its letter does not suggest to the ordinary mind. Violence and intimidation are as much within the mischief of the statute as negotiations, contracts, or purchases. The former are often used to compel the latter. This line of reasoning applies to both the first and second sections, and finds a sufficient place for every word in each. I find in all the counts which I allow to stand, allegations of an intent to engross, monopolize, and grasp, and of means clearly unlawful, and adapted to accomplish this intent."

—come within its purview, as have a tendency to *monopolize trade*. The sum and substance of the decision was, that if persons combine or conspire to drive a particular competitor out of business—the combination or conspiracy being limited to that particular rival, either because of malice or for some other reason unconnected with the attempt to acquire a monopoly of trade—such acts or conduct would not make them liable to prosecution under the Sherman Act, no matter how tortious or criminal the means used. But if the same rival were driven out of business in pursuance of a scheme to monopolize a line of business, perpetrators would be liable to indictment under the Sherman Act *even though the means used were in themselves perfectly innocent*. In sum, (a) the statute was a public statute designed to remedy a public evil and not to redress private wrongs; and, (b) the evil sought to be remedied was an *economic* evil, and it therefore made no difference by what means the evil was brought about or effected.

Before leaving this interesting opinion, we must call attention to a statement of Judge Putnam, explaining one of his reasons for interpreting the Sherman Act the way he did rather than as contended for by the prosecution. He remarked that if the interpretation contended for by the prosecution were adopted “the inevitable result will be that the federal courts will be compelled to apply this statute to all attempts to restrain commerce among the states, or commerce with foreign nations, *by strikes or boycotts*, and by every method of interference by way of *violence or intimidation*.”²⁶ He added that “it is not to be presumed that congress intended thus to extend the jurisdiction of the courts of the United States without very clear language.”²⁷ That such a consideration is a legitimate canon of statutory interpretation will not be disputed. It is sufficient to recall in this connection that in the *Slaughter-House* case²⁸ the United States Supreme Court used a similar consideration as the principal reason for giving a very narrow interpretation to the Fourteenth Amendment. It is clear, of course, that if Judge Putnam’s interpretation of the meaning of the Sherman Act be followed, strikes and boycotts would definitely not come within the purview of the Sherman Act. And it is one of the ironies of this particular history that one United States court should have given the possibility of strikes and boycotts being included within the purview of the Sherman Act as a reason for limiting its interpretation in its application to business combinations, while at that very moment in another case, another United States court was *applying the Act against a strike*.

²⁶ *Id.* at 641 (italics added).

²⁷ *Ibid.*

²⁸ 16 Wall. 36 (U. S. 1873).

IV. UNITED STATES v. E. C. KNIGHT COMPANY²⁹

The first case to come before the United States Supreme Court under the Sherman Act was the *Knight Company* case. This case has been written about more and has led to more confusion of thought than any other case decided under the Sherman Act, with the possible exception of the *Standard Oil Company* case,³⁰ the last important case decided under that Act before it was amended by the Clayton Act.³¹ The decision in the *Knight* case has been roundly denounced as utterly indefensible. It has also been frequently stated that it has been overruled by implication in subsequent decisions of the Supreme Court. But it is clear that the main principle announced therein has never been overruled, nor even modified, in any subsequent decision of the Supreme Court; although it is equally clear that the *theory* of the Sherman Act announced therein has been entirely abandoned. Much of the confusion is due to the form which the suit took, and the relation of the point decided to the form of the suit; as well as to a misunderstanding as to just what *was* the point decided. It has been said that the decision resulted from the inept presentation and poor argument of the case on behalf of the government; and Mr. Justice (later Chief Justice) White, in his dissenting opinion in the *Northern Securities* case,³² gave an utterly perverse account of the point upon which the decision in the case turned.

We cannot go into all of these things, although some of them may have to be adverted to later. But we should say here that the decision not only shocked the community, but that it had very unfortunate results upon the course of the subsequent judicial history of the Sherman Act—not only because it represented an interpretation which seemed to make the Act utterly worthless as a means of combatting the evil which it was designed to cure, but also because it led those who were genuinely interested in curing that evil to place upon the Act an erroneous interpretation of their own so as to escape the consequences of the decision. That the decision itself was erroneous in substance can hardly be questioned, whether we consider it from the point of view of the intention of Congress in enacting the Sherman Act or in the light of subse-

²⁹ 156 U. S. 1 (1895).

³⁰ *Standard Oil Company v. United States*, 221 U. S. 1 (1911).

³¹ 38 STAT. 730 (1914), 15 U. S. C. §§ 12 *et seq.* (1934). There were three other cases decided by the Supreme Court between the decisions in the *Standard Oil* case and its companion piece, the *Tobacco Trust* case [*United States v. American Tobacco Co.*, 221 U. S. 106 (1911)], and the passage of the Clayton Act in October, 1914. However, none of these cases is of any particular importance in connection with our inquiry.

³² *Northern Securities Co. v. United States*, 193 U. S. 197, 364 (1904) at 380 *et seq.*

quent decisions of the Supreme Court itself. The Sugar Trust, defendant in the case, was one of the most notorious trusts at the time of the adoption of the Sherman Act. It was second only to the Standard Oil trust in size and notoriety, and perhaps more complete than the Standard Oil trust as a monopoly.³³ Like the Standard Oil trust it had been adjudged to be an illegal combination by state courts.³⁴ No wonder that the decision of the Supreme Court that the Sugar Trust did not come within the purview of the federal Anti-Trust Act shocked the moral sense of the country. And this shock was not diminished by the fact that in the meantime what purported to be an Anti-Trust Act had, in fact, become an Anti-Labor Act by court interpretation.

At this point we are concerned, however, only with the theory of the Sherman Act as interpreted by the Supreme Court in this case. And that we believe to be sound, and to be, in fact, the theory previously announced by Judge Putnam in *United States v. Patterson*. The legal point decided was that *production* was not *commerce* within the meaning either of the Constitution or of the Act, and that mere intent on the part of the producer to send his product into interstate or foreign commerce did not change the situation.

Taken by themselves, both propositions are perfectly sound—but the result arrived at by the Court on the basis of these propositions does not necessarily follow. And an examination of the opinion de-

³³ Chief Justice Fuller's opinion commences with the following statement of facts:

"By the purchase of the stock of the four Philadelphia refiners, with shares of its own stock, the American Sugar Refining Company acquired nearly complete control of the manufacture of refined sugar within the United States." 156 U. S. at 9.

Mr. Justice Harlan commenced his dissenting opinion with the following statement:

"Prior to the 4th day of March, 1892, the American Sugar Refining Company, a corporation organized under a general statute of New Jersey for the purpose of buying, manufacturing, refining, and *selling sugar in different parts of the country*, had obtained the control of *all* the sugar refineries in the United States except five, of which four were owned and operated by Pennsylvania corporations—the E. C. Knight Company, the Franklin Sugar Refining Company, Spreckels' Sugar Refining Company, and the Delaware Sugar House—and the other, by the Revere Sugar Refinery of Boston. These five corporations were all in active competition with the American Sugar Refining Company and with each other. The product of the Pennsylvania companies was about thirty-three per cent, and that of the Boston company about two per cent, of the entire quantity of sugar refined in the United States.

"In March, 1892, by means of contracts or arrangements with stockholders of the four Pennsylvania companies, the New Jersey corporation—using for that purpose its own stock—purchased the stock of these companies, and thus obtained absolute control of the entire business of sugar refining in the United States except that done by the Boston company, which is too small in amount to be regarded in this discussion." *Id.* at 18. (Italics in original opinion.)

³⁴ The sugar trust had been held an illegal combination in restraint of trade in *People v. North River Sugar Refining Company*, 121 N. Y. 582, 24 N. E. 834 (1890).

livered by Chief Justice Fuller on behalf of the Court clearly shows that the result arrived at was not based entirely on such purely technical considerations, but on the basis of larger considerations affecting our whole governmental structure. These larger considerations need not have—and *should not have*—led to the conclusions arrived at; it is possible that the result of the case might have been different, had it been properly argued. But within the framework of the argument actually presented, the combination of the technical legal propositions referred to and of general considerations of the structure of our government inevitably led to the result. And by *argument* we mean not only the argument presented by Attorney General Olney and his associate counsel who argued on behalf of the government, but also the arguments presented by Mr. Justice Harlan in his dissenting opinion. Let us look at the opinions of Chief Justice Fuller and Mr. Justice Harlan in order to see how the argument shaped itself.

After citing some earlier decisions of the Supreme Court to the effect that manufacture is not commerce, and that an intention to export does not make it so, Chief Justice Fuller turned his attention to the effect which a contrary holding would have upon our form of government. In that connection he quoted the following remarks of Mr. Justice Lamar in *Kidd v. Pearson*.³⁵

“The result would be that Congress would be invested, to the exclusion of the States, with the power to regulate, not only manufactures, but also agriculture, horticulture, stock raising, domestic fisheries, mining—in short, every branch of human industry. For is there one of them that does not contemplate, more or less clearly, an interstate or foreign market? Does not the wheat grower of the Northwest, and the cotton planter of the South, plant, cultivate, and harvest his crop with an eye on the prices at Liverpool, New York and Chicago? *The Power being vested in Congress and denied to the States*, it would follow as an inevitable result that the duty would evolve on Congress to regulate all of these delicate, multiform, and vital interests—*interests which in their nature are and must be, local in all the details of their successful management.*”³⁶

He then proceeded to add some arguments of his own along the same line, saying:

“Contracts, combinations, or conspiracies to control domestic enterprise in manufacture, agriculture, mining, production in all its forms, *or to raise or lower prices or wages*, might unquestionably tend to restrain external as well as domestic trade, but the restraint would be an indirect result, however inevitable and whatever its extent, and such result would not necessarily determine the object of the contract, combination, or conspiracy.

³⁵ 128 U. S. 1 (1888).

³⁶ *Id.* at 21 (italics added).

"Again, all the authorities agree that in order to vitiate a contract or combination it is not essential that its result should be a complete monopoly; it is sufficient if it really tends to that end and to deprive the public of the advantages which flow from free competition. Slight reflection will show that if the national power extends to all contracts and combinations in manufacture, agriculture, mining, and other productive industries, whose ultimate result may affect external commerce, *comparatively little of business operations and affairs would be left for state control.*"³⁷

What was Mr. Justice Harlan's answer to these arguments? Nothing—except complaints as to the result of the decision, which he thought outrageous. With all our sympathy for his side of the case, and justified as was his complaint as to the result arrived at by the majority of the court, we must admit that he did not advance a single legal argument that would furnish a sufficient answer to the dilemma propounded by Chief Justice Fuller. He did not show that a proper interpretation could be placed upon the Sherman Act, within the technical legal meaning of its terms, so that the Sugar Trust would be brought within the purview of the Act while all interruptions to production by strikes or boycotts would be excluded³⁸ as would the vast multitude of "business operations" mentioned by Chief Justice Fuller. Instead he quoted a paragraph from Sir William Erle's book on *The Law Relating to Trade Unions*, whose authority, as we shall see later on, Chief Justice Fuller used for the purpose of bringing labor boycotts at least within the purview of the Sherman Act. And his general argument was such that even ordinary strikes might be considered to be covered by the Sherman Act. The passage from Sir William Erle's book was to the effect that:

"At common law every person has individually, and *the public also have collectively*, a right to require that *the course of trade* should be kept free from *unreasonable obstruction*."³⁹

To this may be added the fact that Sir William Erle, whose authority was thus invoked, considered most trade union activities "unreasonable obstructions" to trade. While that particular consideration probably did not have much weight with Chief Justice Fuller or the other members of the majority, the consequences of Justice Harlan's doctrine on general business operations must have had a decisive influence.

³⁷ 156 U. S. at 16 (italics added).

³⁸ As suggested by Judge Putnam in the *Patterson* case. See page 1295 and note 25, *supra*.

³⁹ Quoted in 156 U. S. at 24.

V. WHAT IS AN "UNLAWFUL RESTRAINT" UNDER THE SHERMAN ACT?

The issue drawn in general terms in the *Knight* case became considerably more clarified in the next two cases decided by the United States Supreme Court, although on the surface the issue seemed to be entirely different, and although the alignment within the Court as well as the result were quite different. These two cases⁴⁰ dealt with railroads, the suits having been brought by the United States Government to dissolve combinations of railroads designed to control rates, one in the Eastern part of the country and the other in the West. Both combinations were declared illegal on a narrow division in the Court, Mr. Justice Harlan now being in the majority.⁴¹ The immediate question before the Court was twofold: Were railroads intended to be covered by the Sherman Act; and if so, were the two particular combinations of a character to make them "unlawful restraints" under the Act? The latter question, by far the more important, turned upon the meaning of the word "unlawful" in the title to the Act and the first word of the Act, the word "every", the meaning of the word "unlawful" depending on the meaning given to the word "every". The Sherman Act is entitled "An Act to Protect Trade and Commerce against Unlawful Restraints and Monopolies".⁴² What does that mean? Does it mean that the Act was intended to protect trade and commerce from restraints which were in themselves unlawful—*i.e.*, unlawful when tested by some outside standard—or does it mean restraints which are *made* unlawful by the Act itself, irrespective of whether or not they would otherwise be considered unlawful? That question turned upon the meaning of the first word of the first section of the Act. The first sentence of the first section of the Sherman Act is as follows:

"Every contract, combination in the form of trust or otherwise, or conspiracy, in restraint of trade or commerce among the several states or with foreign nations, is hereby declared to be illegal".⁴³

What does "every" mean? Does it actually mean *every* contract in restraint of trade, or only every contract in *unreasonable* restraint of trade? At first glance the question would seem to be absurd: "Every" should mean *every*, and there is no warrant for inserting the word "un-

⁴⁰ *United States v. Trans-Missouri Freight Association*, 166 U. S. 290 (1897); *United States v. Joint Traffic Association*, 171 U. S. 505 (1898).

⁴¹ In the *Trans-Missouri* case the majority consisted of Chief Justice Fuller and Associate Justices Harlan, Brewer, Brown and Peckham; while the minority consisted of Associate Justices Field, Gray, Shiras, and White. In the *Joint Traffic* case the division was the same, except that Mr. Justice McKenna, who had taken the place of Mr. Justice Field, did not participate in the decision.

⁴² 26 STAT. 209 (1890).

⁴³ 26 STAT. 209 (1890), 15 U. S. C. § 1 (1934) (italics added).

reasonable" when it is not in the statute. But the question is not quite as simple as that. Whether the word "every" actually means what a layman would assume it to mean, or what the dictionary says it means, depends on whether the phrase "contract in restraint of trade" is given a technical meaning, *i.e.*, the meaning which it had at common law. The reader will recall that Senator Hoar, in explaining the meaning of the Sherman Act to the Senate said that this Act was putting the common law of this subject into the federal system of jurisprudence.⁴⁴ And whether or not he actually succeeded in doing so depends on how you accentuate the phrase "every contract in restraint of trade": if you read it "*every* contract in restraint of trade" it has one meaning; but if you read it "*every contract in restraint of trade*" it has another meaning, because "contract in restraint of trade" had a technical meaning at common law. And it so happens that all seem to agree—erroneously as we believe, and as we shall attempt to show further below⁴⁵—that at common law the technical term "contract in restraint of trade" when translated into non-technical English means "contract in *unreasonable* restraint of trade". The argument, therefore, was whether Congress had intended to enact the common law, or had intended to make law of its own irrespective of the common law, a law which would embrace within its prohibitions more than was considered unlawful at common law. Such was the dispute among the counsel at the bar, and such was the division among the members of the Court. But curiously enough neither the counsel nor the members of the Court who insisted on the common law meaning of the words "contract in restraint of trade" as used in the Act, saw fit to refer to Senator Hoar's statement before the Senate in explaining the meaning of the bill which he reported from the Judiciary Committee and which actually became the Sherman Act.

But while the discussion turned around the question of whether the words "contract in restraint of trade" were intended by Congress in their technical common-law sense, the real question was the wider one indicated in both the *Patterson* and the *Knight* cases: whether the Act should be given an interpretation which would suck from the state courts into the federal courts a vast multitude of cases theretofore properly belonging to state jurisdiction, thus impinging upon state authority as theretofore understood.

As already stated, the decision this time was in favor of a broad interpretation of the Act. Mr. Justice Harlan had won his fight—for the present at least. But this was not without bitter protests from

⁴⁴ See page 1292, *supra*.

⁴⁵ See Part II of this article, which will appear in a forthcoming issue of the COLUMBIA LAW REVIEW.

four members of the Court led by Mr. Justice White, who wrote a dissenting opinion equal to, if not exceeding, in bitterness and vehemence the most vitriolic dissenting opinions of Mr. Justice Harlan himself, who was noted for that kind of thing. The decision of the Court in the *Trans-Missouri Freight Association* case, the first of these cases, is thus stated in the reporter's headnote:

"The words 'unlawful restraints and monopolies,' in the title of the act of Congress of July 2, 1890, do not show that the purpose of the act was to include only contracts which were unlawful at common law, but refer to and include those restraints and monopolies which are made unlawful in the body of the act.

"The term 'contract in restraint of trade,' as used in the act of Congress of July 2, 1890, does not refer only to contracts which were invalid at common law, but includes every contract in restraint of trade, and is not limited to that kind of a contract which is in unreasonable restraint of trade".⁴⁶

We need not stop to examine the arguments of the majority of the Court in these two cases, since little need be said in favor of an argument that "every" means *every*, which is at the base of the interpretation now placed upon the Act by the Supreme Court. Because, however, as we shall see later, his views ultimately prevailed, Mr. Justice White's dissenting opinion in the *Trans-Missouri* case deserves careful consideration. He opens his opinion with the following statement:

"It is unnecessary to refer to the authorities showing that although a contract may in some measure restrain trade, it is not for that reason void or even voidable unless the restraint which it produces be unreasonable. *The opinion of the court concedes this to be the settled doctrine.*"⁴⁷

He then makes a very brief statement of the nature of the agreement between the companies, and then proceeds as follows:

"I content myself with giving this mere outline of the results of the contract, and do not stop to demonstrate that its provisions are reasonable, since the opinion of the court rests upon that hypothesis. *I commence, then, with these two conceded propositions, one of law and the other of fact, first, that only such contracts as unreasonably restrain trade are violative of the general law, and, second, that the particular contract here under consideration is reasonable, and therefore not unlawful if the general principles of law are to be applied to it.*"⁴⁸

At the basis of Mr. Justice White's argument, therefore, is a concession made by the other side with respect to what is law outside of the Sherman Act. And upon looking carefully at Mr. Justice White's statement of the concession thus made by the majority of the Court,

⁴⁶ 41 L. Ed. at 1009.

⁴⁷ 166 U. S. at 343 (italics added).

⁴⁸ *Id.* at 343, 344 (italics added).

it will be noted that he speaks of "the general law" and "the general principles of law". What is the "general law"? Ordinarily, we mean by that the common law—why didn't Mr. Justice White say "the common law"? Mr. Justice White could be careful when he wanted to. He used the expression "general law" deliberately, the reason being that the law he was referring to was *not* the common law; or, at least, he would have had difficulty in showing that it *was* the common law. He, therefore, took advantage of the concession made by the majority of the Court to find it *unnecessary to refer to the authorities*. Had he been challenged on the subject it would have appeared that the "authorities" showed quite a different condition of the law from what Mr. Justice White, apparently with the consent of the majority, had assumed. In fact, a partial discussion of the authorities which Mr. Justice White does enter upon in the course of his long opinion, clearly shows that the common law was not the same as the "general law" to which he referred in the opening paragraphs of his opinion. This question will have to be considered more in detail further below. We shall, therefore, limit ourselves here to quoting Mr. Justice White's *canon* of construction which he and the other three judges who agreed with him believed to be applicable to the Sherman Act. This canon, which would probably not have been disputed as an abstract proposition by the majority of the Court, is stated as follows:

"The well-settled rule is that where technical words are used in an act, and their meaning has previously been conclusively *settled, by long usage and judicial construction*, the use of the words without an indication of an intention to give them a new significance is an adoption of the generally accepted meaning affixed to the words at the time the act was passed. Particularly is this rule imperative where the statute in which the words are used creates a crime, as does the statute under consideration, and gives no specific definition of the crime created."⁴⁹

Preliminary to announcing his canon of construction, Mr. Justice White states what he considered to be the common law meaning of the phrase "contracts in restraint of trade" which leads him to the conclusion that the common law rule of the subject was based on the theory of "freedom of contract and of trade".⁵⁰ We need not examine the correctness of this conclusion at this point, as it will have to be discussed in another connection further below. Having arrived at the *economic theory* which lay behind the *legal doctrine* of restraints of trade, he announced what he called the *Rule of Reason* as the proper rule for the construction of the Sherman Act. This rule, as we shall see later,

⁴⁹ *Id.* at 353 (italics added).

⁵⁰ *Id.* at 351.

was not, however, based on the common law but on what Mr. Justice White believed to be the “general law”, the two having become rather mixed in the course of his discussion. Stated succinctly, the Rule of Reason is compounded of two parts: the application of the canon of construction quoted above, and the conclusion that under the common law, or the “general law”, only contracts in *unreasonable* restraint of trade were invalid. The Rule of Reason is thus really a rule of *Reasonableness*. To bolster up his general canon of construction, Mr. Justice White appeals to the title of the Act as proving that that canon was intended to be applied by Congress in enacting the Sherman Act. Says he:

“Its title is ‘An act to protect trade and commerce against unlawful restraints and monopolies.’ The word ‘unlawful’ clearly distinguishes between contracts in restraint of trade which are lawful and those which are not. In other words, between those which are *unreasonably* in restraint of trade, and consequently invalid, and those which are reasonable and hence lawful. When, therefore, in the very title of the act the well-settled distinction between lawful and unlawful contracts is broadly marked, how can an interpretation be correct which holds that all contracts, whether lawful or not, are included in its provisions?”⁵¹

But Mr. Justice White is not satisfied to stop at the intention of Congress and the general rules of construction. He also makes the inevitable appeal to the terrible consequences which would follow the adoption of the contrary rule as laid down in the majority opinion. This appeal is remarkable for a number of reasons, not the least of which is the fact that in this case where the Rule of Reason was being invoked on behalf of great aggregations of *capital*, its adoption was pressed because of the terrible consequences to *labor* which would flow from the adoption of the contrary rule. Said he:

“The remedy intended to be accomplished by the act of Congress was to shield against the danger of contract or combination by the few against the interest of the many and to the detriment of freedom. The construction now given, I think, strikes down the interest of the many to the advantage and benefit of the few. It has been held in a case involving a combination among workingmen, that such combinations are embraced in the act of Congress in question, and this view was not doubted by this court. *In re Debs*, 64 Fed. Rep. 724, 745-755, 158 U. S. 564. The interpretation of the statute, therefore, which holds that reasonable agreements are within its purview, makes it embrace every peaceable organization or combination of the laborer to benefit his condition either by obtaining an increase of wages or diminution of the hours of labor. Combinations among labor for this purpose were treated as illegal under the construction of the law which included reasonable contracts within the doctrine of the invalidity of contract or combinations in restraint of

⁵¹ *Id.* at 352.

trade, and they were only held not to be embraced within that doctrine either by statutory exemption therefrom or by the progress which made reason the controlling factor on the subject. *It follows that the construction which reads the rule of reason out of the statute embraces within its inhibition every contract or combination by which workingmen seek to peaceably better their condition. It is therefore, as I see it, absolutely true to say that the construction now adopted which works out such results not only frustrates the plain purpose intended to be accomplished by Congress, but also makes the statute tend to an end never contemplated, and against the accomplishment of which its provisions were enacted.*"⁵²

VI. SERVICES ARE NOT COMMERCE

The opinions of the Supreme Court in the two railroad cases discussed in the last section were delivered by Mr. Justice Peckham, the youngest member of the Court in point of service. He had recently come to the Supreme Court from the Court of Appeals of the State of New York, where he had dissented from the decision of that Court in the *Diamond Match Company* case,⁵³ which Mr. Justice White cited as one of the authorities to establish his conception of the "general law" of restraints of trade.

The decision of the Court in the second of the railroad cases was announced on October 24, 1898. On the same day the Supreme Court decided two other cases under the Sherman Act, Mr. Justice Peckham again speaking for the Court in both cases,—in one for a unanimous Court, and in the other for a divided Court. Mr. Justice Peckham had apparently become the trust expert of the Court. He was a broad-constructionist with respect to the Sherman Act—although not quite as much of a broad-constructionist as Mr. Justice Harlan—and his opinions are therefore particularly interesting if we want to know what, at that period, was considered within the purview of the Sherman Act from a broad-construction point of view. And a consideration of this question leads to at least one definite conclusion: *Services were considered as not being commerce within the meaning of the Constitution, and agreements in restraint of competition in services or restraint of trade through agreements controlling services, were thought to be without the purview of the Sherman Act.*

Both of these cases related to operations of stockyards. The first, *Hopkins v. United States*,⁵⁴ related to a combination of stockyard *brokers*; while the second, *Anderson v. United States*,⁵⁵ related to stockyard *traders* or *dealers*. The problem involved was thus not one as to

⁵² *Id.* at 355, 356 (italics added).

⁵³ *Diamond Match Co. v. Roeber*, 106 N. Y. 473, 13 N. E. 419 (1887).

⁵⁴ 171 U. S. 578 (1898).

⁵⁵ 171 U. S. 604 (1898).

the nature of a *contract* but rather of the kind of *activity* that is within the purview of the Sherman Act. And an examination of the two cases, taken together, will show that the Court was unanimous in its holding that *services* were not commerce, and therefore not within the purview of the Sherman Act, Mr. Justice Harlan's dissent in the *Anderson* case being due to the fact that the combination involved in that case was not of persons rendering a service, but of *traders*, and the agreement related not to services but to *trade*. In order to get at the *basic* views of the Court it is perhaps best to consider the *Anderson* case first, even though the *Hopkins* case comes first in the official report. As already stated, the combination in the *Anderson* case consisted of stockyard traders, and the agreement in question was a formal by-law adopted by the association sought to be dissolved, known as the Traders' Live Stock Exchange. The by-law contained among other things a rule, known as Rule 10, the effect of which was thus stated by Mr. Justice Peckham in his opinion:

"In regard to rule 10, the question is whether, without a violation of the act of Congress, persons who are engaged in the common business as yard traders of buying cattle at the Kansas City stock yards, which come from different states, may agree among themselves that they will form an association for the better conduct of their business, and that they will not transact business with other yard traders who are not members, nor will they buy cattle from those who also sell to yard traders who are not members of the association."⁵⁶

In other words, these traders had a *closed-shop* agreement and also engaged in a *boycott*. No one who was not a member of the Exchange could trade in the stockyards—if the members of the Exchange could help it, of course. And the members of the Exchange were prohibited from dealing with any broker who would deal with a trader who was not a member of the Exchange. Substitute "Union" for "Exchange" and you have the typical closed-shop and boycott in labor disputes. The reasoning whereby the Court arrived at the conclusion (only Mr. Justice Harlan dissenting) that the activities of this association were not in restraint of trade within the meaning of the Sherman Act are, therefore, extremely interesting. After stating the rule whereby the Traders' and Live Stock Exchange sought to control the trade in question, Mr. Justice Peckham said:

"It will be remembered that the association does no business itself. Those who are members thereof compete among themselves and with others who are not members, for the purchase of the cattle, while the association itself has nothing whatever to do with transportation nor with fixing the prices for which

⁵⁶ *Id.* at 613-614.

the cattle may be purchased or thereafter sold. Any yard trader can become a member of the association upon complying with its conditions of membership, and may remain such as long as he comports himself in accordance with its laws. *A lessening of the amount of the trade is neither the necessary nor direct effect of its formation. . . .*⁸⁷

The points to be noticed are: (1) The Exchange was not itself in business, and (2) any yard trader could become a member of the Exchange, even though only upon complying with its conditions of membership. *Ergo*, the Exchange was not a monopoly. (3) A lessening of *the amount of trade* was neither the *necessary* nor the *direct* effect of the formation of the Exchange. *Ergo*, it was not a combination in restraint of trade. That Mr. Anderson's trade was both directly and necessarily affected, if he refused to become a member of the Exchange—which could only be done upon compliance with its conditions of membership—makes no difference. *The Sherman Act is designed to protect the public against general restraints of trade, and not particular individuals* who may suffer from a rule of trade which may restrain *them* in *their* trade but does not injuriously affect the public at large. Page Judge Putnam. *Vide, U. S. v. Patterson.*

Before leaving this very interesting decision we should note the opinion of the Court with respect to a point indicated by Mr. Justice Peckham in his remarks on the subject of the lessening of the amount of trade—the question of direct and indirect effects, which has been one of the perennial puzzles in the discussions on this subject because of its apparently purely subjective criteria. Said the Court:

"In the view we take of this case we are not called upon to decide whether the defendants are or are not engaged in interstate commerce, because if it be conceded they are so engaged, the agreement as evidenced by the by-laws is not one in restraint of that trade, nor is there any combination to monopolize or attempt to monopolize such trade within the meaning of the act.

"It has already been stated in the *Hopkins Case*, above mentioned, that in order to come within the provisions of the statute the direct effect of an agreement or combination must be in restraint of that trade or commerce which is among the several states, or with foreign nations. Where the subject-matter of the agreement does not directly relate to and act upon and embrace interstate commerce, and where the undisputed facts clearly show that *the purpose of the agreement* was not to *regulate*, obstruct or restrain that commerce, but that it was entered into with the object of properly and fairly regulating the transaction of the business in which the parties to the agreement were engaged, such agreement will be upheld as not within the statute, where it can be seen that the character and terms of the agreement are well calculated to attain the purpose for which it was formed, and where the effect of its formation and enforcement upon interstate trade or commerce is in any event but in-

⁸⁷ *Id.* at 614 (italics added).

direct and incidental, and not its purpose or object. . . . Otherwise, there is scarcely any agreement among men which has interstate or foreign commerce for its subject that may not remotely be said to, in some obscure way, affect that commerce and to be therefore void. We think, within the *plain and obvious construction* to be placed upon the act, and following the rules in this regard already laid down in *the cases heretofore decided in this court*, we must hold the agreement under consideration in this suit to be valid.”⁸⁸

Apparently, what was plain and obvious to the rest of the Court was neither plain nor obvious to Mr. Justice Harlan, who dissented from this decision, although he did not think the point of sufficient importance to write a dissenting opinion. Presumably, his dissent was based on this question of direct or indirect effects, which is rather hard to put down in words—it is so much a matter of vision and visualizing. We may now turn to the *Hopkins* case which is even more interesting because much more fundamental, going to the very heart of our problem. The combination involved in the *Hopkins* case operated in the same stockyards as the Traders’ Live Stock Exchange involved in the *Anderson* case—the Kansas City Stockyards; which, incidentally, were situated in both Kansas City, Missouri, and Kansas City, Kansas, the state line running through the field of operations of the combination.

The combination sought to be dissolved in the *Hopkins* case was known as Kansas City Live Stock Exchange, and consisted of brokers, or commission merchants, trading in live stock not on their own account but as agents for the shippers of cattle scattered throughout the United States. Their relation to the interstate livestock trade was not limited, however, to acting as agents or brokers in the sale of the cattle. The complicated nature of their business, sufficiently appears from the reporter’s headnotes stating the points decided by the Court, the first of which is as follows:

“The business of buying and selling live stock at stock yards in a city by members of a stock exchange as commission merchants is not interstate commerce, although most of the purchases and sales are of live stock sent from other states, and the members of the stock exchange are employed to sell by letter from the owners of the stock in other states, and send agents to other states to solicit business, and advance money to the cattle owners, and pay their drafts, and aid them in making the cattle fit for market.”⁸⁹

The regulations involved covered the amount of commissions to be charged, the number of solicitors or travelling agents which each member could employ, and what “prepaid” telegrams or telephone messages could be sent by members to their customers in the various states in

⁸⁸ *Id.* at 615-616 (italics added).

⁸⁹ *Hopkins v. United States*, 43 L. Ed. at 290, 291.

the conduct of their business. This Exchange also operated under a *closed-shop* agreement like the Exchange involved in the *Anderson* case, and carried on a similar *boycott* against persons trading with non-members of the Exchange. All of these were declared not to be illegal, but not for the same reasons as in the *Anderson* case. The question of direct or indirect influence was considered, but the basic question was the nature of the occupation, and that was declared to be *services* and, *therefore, not commerce*. In giving the opinion of the unanimous Court Mr. Justice Peckham said:

"The selling of an article at its destination, which has been sent from another state, while it may be regarded as an *interstate sale* and one which the importer was entitled to make, yet the services of the individual employed at the place where the article is sold are not so connected with the subject sold as to make them a portion of interstate commerce, and a combination in regard to *the amount to be charged for such service* is not, therefore, a combination in restraint of that trade or commerce."⁶⁰

By way of clarification of the statement just quoted, made somewhat ambiguous by the seemingly qualifying words "employed at the place where the article is sold", Mr. Justice Peckham said:

"The charges of the agent on account of his services are nothing more than charges for aids or facilities furnished the owner whereby his object may be the more easily and readily accomplished. Charges for the transportation of cattle between different states are charges for doing something which is one of the forms of and which itself constitutes interstate trade or commerce, while charges or commissions based upon services performed for the owner in effecting the sale of the cattle are not directly connected with, as forming part of, interstate commerce, although the cattle may have come from another state. Charges for services of this nature do not immediately touch or act upon nor do they directly affect the subject of the transportation. *Indirectly and as an incident, they may enhance the cost to the owner of the cattle in finding a market, or they may add to the price paid by a purchaser, but they are not charges which are directly laid upon the article in the course of transportation, and which are charges upon the commerce itself*; they are charges for the facilities given or provided the owner in the course of the movement from the home *situs* of the article to the place and point where it is sold."⁶¹

In other words, a charge for a service which is itself interstate commerce—such, for instance, as freight or passenger rates made by railroads—is itself interstate commerce, and, therefore, comes within the provision of the Sherman Act. But a service which is not of itself interstate commerce but rendered to one engaged in interstate commerce, by way of facility to that commerce, is not itself interstate commerce,

⁶⁰ 171 U. S. at 590-591 (italics added).

⁶¹ *Id.* at 591-592 (italics added).

and is therefore not within the provisions of that Act. And in further elucidation of his meaning, Mr. Justice Peckham makes it clear that mere labor, *even the labor of transportation in interstate commerce, is not itself interstate commerce, and, therefore, not within the meaning of the Act.* Mr. Justice Peckham, the broad constructionist, thus agrees entirely with the narrow constructionist, Mr. Justice White, *that the Sherman Act must not be construed so as to include labor disputes.* And the language used by Mr. Justice Peckham was apparently chosen deliberately with a view to answering the arguments and allaying the fears of Mr. Justice White as stated by him in the paragraphs last quoted by us from his dissenting opinion in the *Trans-Missouri* case. Says Mr. Justice Peckham:

"To treat as condemned by the act all agreements under which, as a result, the cost of conducting an interstate commercial business may be increased *would enlarge the application of the act far beyond the fair meaning of the language used.* . . .

"It is not difficult to imagine agreements of the character above indicated. For example, cattle, when transported long distances by rail, require rest, food and water. To give them these accommodations it is necessary to take them from the car and put them in pens or other places for their safe reception. Would an agreement among the landowners along the line not to lease their lands for less than a certain sum be a contract within the statute as being in restraint of interstate trade or commerce? Would it be such a contract even if the lands, or some of them, were necessary for use in furnishing the cattle with suitable accommodations? Would an agreement between the dealers in corn at some station along the line of the road not to sell it below a certain price be covered by the act, because the cattle must have corn for food? *Or would an agreement among the men not to perform the service of watering the cattle for less than a certain compensation come within the restriction of the statute?* . . . Would an agreement between builders of cattle cars not to build them under a certain price be void because the effect might be to increase the price of transportation of cattle between the states? . . . Would an agreement among cattle drivers not to drive the cattle after their arrival at the railroad depot at their place of destination to the cattle yards where sold, for less than a minimum sum, come within the statute? *Would an agreement among themselves by locomotive engineers, firemen or trainmen engaged in the service of an interstate railroad not to work for less than a certain named compensation be illegal because the cost of transporting interstate freight would be thereby enhanced?*"¹⁰²

VII. THE NORTHERN SECURITIES CASE

During the decade which elapsed between the decision in the *Hopkins* case, in which the Sherman Act was given a construction which excluded its application to labor disputes, and the *Danbury Hatters'* case,

¹⁰² *Id.* at 592-594 (italics added).

in which the Act was first applied to such a dispute, the Supreme Court had before it four cases,⁶³ in all of which the combinations attacked were held to be within the purview of the Act—the Court being unanimous in three of the cases, while in the fourth one there was one of the sharpest and bitterest conflicts in the entire history of the Sherman Act. It is with this case, the *Northern Securities* case,⁶⁴ that we are particularly concerned.

The *Northern Securities* case was a very remarkable case, surpassing by far any other case decided under the Sherman Act in the interest which it evoked at the time of its announcement, in the bitter struggle which it provoked in the Court itself, and in the number and character of opinions delivered from the bench. In the importance of the principles announced it was equalled only by three other cases: the first, the *Knight* case, which held the law constitutional but restricted its scope; the *Danbury Hatters'* case, which made it applicable to labor disputes; and the *Standard Oil Company* case, which made Mr. Justice White's Rule of Reason the official doctrine of the Supreme Court. But important as was the latter event, its importance was largely fortuitous. For as we shall see further below, the Rule of Reason actually became the doctrine of the Court in the *Northern Securities* case, even though this escaped the notice of the public at large, and possibly also of the legal profession. There are other things about this case which make it exceptional. The physical bulk of the report itself is most impressive—in the official reports of the United States Supreme Court, the report of this case occupies 210 pages as against 106 for the *Standard Oil* case. But its real importance lies in the fact that it bulks large intellectually. That result was due in no small degree to the fact that there was a newcomer on the bench, Mr. Justice Holmes, who, although agreeing in the opinion of Mr. Justice White, again the leader of the opposition, wrote an opinion of his own which deserves special attention. But perhaps the most interesting fact about the case is that the Court split three ways, and there was, therefore, no opinion of the Court. Mr. Justice Brewer wrote a brief opinion, joining in the decision of the broad-constructionist bloc led by Mr. Justice Harlan, but disavowing their principles and adhering to the narrow-construction principles long advocated by Mr. Justice White. The case also is important because it was the first appearance before the Supreme Court of the holding company as such, and the decision was therefore of far-reach-

⁶³ *Addyston Pipe and Steel Co. v. United States*, 175 U. S. 211 (1899); *Montague & Co. v. Lowry*, 193 U. S. 38 (1904); *Northern Securities Co. v. United States*, 193 U. S. 197 (1904); *Swift & Co. v. United States*, 196 U. S. 375 (1905).

⁶⁴ 193 U. S. 197 (1904).

ing importance in subsequent holding company legislation. Indeed, it was around this question that the principal struggle within the Court turned, overshadowing everything else. But for the adhesion of Mr. Justice Brewer to the Harlan bloc on *this* question, the decision would have been the other way, and might have had the effect of making subsequent holding company legislation impossible. It is this latter circumstance that obscured from view the virtual adoption by the Court of the Rule of Reason.

Prior to 1893, the Northern Pacific and the Great Northern were competing railway systems running practically in parallel lines from the Great Lakes to the Pacific Coast. One was controlled by Mr. James J. Hill, and the other by Mr. J. Pierpont Morgan. In that year of memorable panic the railroad king and the great banker decided to enter into a combination which would eliminate competition between their two railroad systems. They attempted to do it by means of a direct merger in a foreclosure proceeding, but encountered the opposition of the State of Minnesota—both railroads being owned by Minnesota corporations—in the form of a statute which forbade such mergers, and the authority of the State to block the merger was sustained by the United States Supreme Court.⁶⁵ Thereupon Mr. Hill and Mr. Morgan hied themselves to Trenton, New Jersey, and organized a holding company under the laws of New Jersey, and this company acquired a controlling interest in both railroad companies, thus virtually effecting the merger in spite of the laws of the State of Minnesota as upheld by the United States Supreme Court. Concededly, the exchange of stock which was necessary to effect this merger was *made in pursuance to a previous agreement*, the undisputed purpose of which was the elimination of *competition* between the two railroad systems. The two railroad systems were, of course, interstate carriers, and engaged in interstate commerce. In the *Trans-Missouri Freight Association* case the United States Supreme Court had decided that agreements between interstate carriers eliminating competition came within the prohibition of the Sherman Act, and this decision was affirmed in the *Joint Traffic Association* case. The primary question, therefore, was: Can those decisions be circumvented by organizing a holding company which will *acquire* the stock of the competing railroads or a controlling interest therein? The answer of the Court was: *No*. But the majority making the decision could not agree on an opinion. Mr. Justice Harlan, the acknowledged leader of the broad-construction bloc, delivered an opinion on behalf of four members of the Court, including Mr. Justice Peckham, who, as we

⁶⁵ *Pearsall v. Great Northern Ry. Co.*, 161 U. S. 646 (1896).

have seen, was not quite as broad-constructionist as Mr. Justice Harlan. Mr. Justice Brewer wrote a brief opinion of his own, concurring in the answer, but making reservation as to the opinion, which will be noted further below. On behalf of the dissenting judges two opinions were delivered, one by Mr. Justice White and one by Mr. Justice Holmes. Formally, the entire group concurred in each of these opinions, and there was merely a division of labor between Mr. Justice White and Mr. Justice Holmes, Mr. Justice White dealing with the problem of constitutionality, while Mr. Justice Holmes dealt with the meaning of the Act as gathered from its "four corners". But upon careful consideration it will be found that Mr. Justice Holmes had mental reservations with respect to Mr. Justice White's opinion, and agreed in the latter's opinion only "in the main".

Mr. Justice Harlan's opinion need not be considered here at length. As was to be expected, he excoriated the attempt to circumvent the Sherman Act and the decision of the Supreme Court in the railroad cases by a purely formal or paper device, and leaned heavily on what was said by the Court in the *Trans-Missouri* and *Joint Traffic* cases. Mr. Justice Brewer's opinion, though brief, is extremely important. He began with the announcement that although he was with the majority in the *Trans-Missouri* and *Joint Traffic* cases, and still believed that those cases had been rightly decided, he thought that, "in some respects *the reasons given for the judgments cannot be sustained*".⁶⁶ He then continued:

"Instead of holding that the anti-trust act included all contracts, reasonable or unreasonable, in restraint of interstate trade, the ruling should have been that the contracts there presented were unreasonable restraints of interstate trade, and as such within the scope of the act. That act, as appears from its title, was leveled at only 'unlawful restraints and monopolies'. Congress did not intend to reach and destroy those minor contracts in partial restraint of trade which the long course of decisions at common law had affirmed were reasonable and ought to be upheld. The purpose rather was to place a statutory prohibition, with prescribed penalties and remedies, upon those contracts which were in direct restraint of trade, unreasonable, and against public policy. *Whenever a departure from common-law rules and definitions is claimed, the purpose to make the departure should be clearly shown. Such a purpose does not appear, and such a departure was not intended.*"⁶⁷

That made a clear majority for Mr. Justice White's contentions on the question of construction of the Sherman Act, both as the Court was constituted at the time Mr. Justice White put those contentions forward and as it was now constituted.

⁶⁶ 193 U. S. at 361 (italics added).

⁶⁷ *Ibid.* (italics added).

The significance of this cannot be underestimated. But Mr. Justice Brewer made another remarkable statement which must not be overlooked:

"A corporation, while by fiction of law recognized for some purposes as a person, and, for purposes of jurisdiction, as a citizen, *is not endowed with the inalienable rights of a natural person.*"⁸⁸

This passage, made in answer to Mr. Justice White's argument based upon the property rights of the Northern Securities Company in the stock of the railroad companies, and upon the rights of the *states* in our dual system of government to control the right to *acquire* property, not only determined the decision in this case, by making Mr. Justice Brewer adhere to the majority, but bears directly upon the problem of holding company legislation by the federal government.

⁸⁸ *Id.* at 362 (italics added). The fact that corporations are treated, and properly so, as "citizens" or "persons" in certain legal connections, has resulted in most lawyers overlooking the economic difference between an individual and the aggregate of individuals known as a corporation. Mr. Justice Brewer put a prophetic finger on this point in another remarkable passage in his opinion, dealing with pyramiding, which reads as follows:

"If the parties interested in these two railroad companies can, through the instrumentality of a holding corporation, place both under one control, then in like manner, as was conceded on the argument by one of the counsel for the appellants, could the control of all the railroad companies in the country be placed in a single corporation. Nor need this arrangement for control stop with what has already been done. The holders of \$201,000,000 of stock in the Northern Securities Company might organize another corporation to hold their stock in that company, and the new corporation holding the majority of the stock in the Northern Securities Company and acting in obedience to the wishes of a majority of its stockholders would control the action of the Securities Company and through it the action of the two railroad companies, and this process might be extended until a single corporation whose stock was owned by three or four parties would be in practical control of both roads, or having before us the possibilities of combination, the control of the whole transportation system of the country. I cannot believe that to be a reasonable or lawful restraint of trade." *Id.* at 362-363.

This is in marked contrast to the utterly unrealistic attitude with respect to the economic problem involved adopted by Mr. Justice Holmes in this case. At one point in his opinion Mr. Justice Holmes said:

"This act is construed by the government to affect the purchasers of shares in two railroad companies because of the effect it may have, or, if you like, is certain to have, upon the competition of these roads. If such a remote result of the exercise of an ordinary incident of property and personal freedom is enough to make that exercise unlawful, there is hardly any transaction concerning commerce between the states that may not be made a crime by the finding of a jury or a court. *The personal ascendancy of one man may be such that it would give to his advice the effect of a command, if he owned but a single share in each road. The tendency of his presence in the stockholders' meetings might be certain to prevent competition,* and thus his advice, if not his mere existence, become a crime." *Id.* at 403 (italics added).

The obvious answer to this, is, that, clearly, Messrs. Morgan and Hill did not trust to their presence at stockholders' meetings to influence the action of their fellow stockholders, and therefore resorted to a legal device to put in their hands economic power which they themselves did not possess and could not have possessed as individuals. Surely, the Holmes of the later years would not have missed this difference.

We may now turn to the dissenting opinions—or, rather, to the opinions of the dissenters from the judgment, since there was no official opinion of the Court. Mr. Justice White's opinion is an amazing performance in many respects. This is not, however, the proper place to examine it, since it sheds no new light on the subject with which we are here particularly concerned.

Mr. Justice Holmes commences his opinion with the interesting statement that :

*"Great cases, like hard cases, make bad law. For great cases are called great, not by reason of their real importance in shaping the law of the future, but because of some accident of immediate overwhelming interest which appeals to the feelings and distorts the judgment."*⁶⁹

History proved Mr. Justice Holmes to have been a wrong prophet in this instance, for the decision in the *Northern Securities* case did play a great role in shaping the law of the future. But if we substitute "opinion" for "law", the observation has great immediate application, for most of the great cases under the Sherman Act have been productive of rather poor opinions. And Mr. Justice Holmes' own opinion in this case is no exception—at least when we measure it by his own standards. When we come to consider, further below, the common law, we shall find that Mr. Justice Holmes' statement of that law in this opinion contains very important gaps, the omissions leading him to wrong conclusions as to the matter immediately in hand. But what he *does* say is both correct and illuminating. He commences by the declaration that the Sherman Act is a *criminal* statute, and therefore requires the application of the canons of construction applicable to criminal statutes.

"The two sections on which the government relies both make certain acts crimes. That is their immediate purpose and that is what they say. It is vain to insist that this is not a criminal proceeding. The words cannot be read one way in a suit which is to end in fine and imprisonment and another way in one which seeks an injunction. The construction which is adopted in this case must be adopted in one of the other sort. I am no friend of artificial interpretations because a statute is of one kind rather than another, but all agree that before a statute is to be taken to punish that which always has been lawful, it must express its intent in clear words. So I say we must read the words before us as if the question were whether two small exporting grocers should go to jail".⁷⁰

He thereupon adverts generally to the problem of constitutionality, and then says :

⁶⁹ 193 U. S. at 400 (*italics added*).

⁷⁰ *Id.* at 401-402.

"I state these general considerations as matters which I should have to take into account before I could agree to affirm the decree appealed from, *but I do not need them for my own opinion*, because, when I read the act I cannot feel sufficient doubt as to the meaning of the words to need to fortify my conclusion by any generalities. *Their meaning seems to me plain on their face.*"⁷¹

The meaning of the words is that which they had in the common law. Mr. Justice Holmes, therefore, proceeds to examine the meaning of the terms used in the Sherman Act in the light of their meaning in the common law. And this leads him to the same conclusion at which Judge Putnam had arrived in the case of *United States v. Patterson*—namely, that the first section of the Sherman Act, dealing with restraints of trade, must be read in the light of the second section, which deals with monopolies. In other words: only restraints of trade which have a tendency to create monopolies were intended to be prohibited by the Act. Says he:

"If the statute applies to this case it must be because the parties, or some of them, have formed, or because the Northern Securities Company is, a combination in restraint of trade among the states, or, *what comes to the same thing, in my opinion*, because the defendants, or some of them, are monopolizing, or attempting to monopolize some part of the commerce between the states. But the mere reading of those words shows that they are used in a limited and accurate sense."⁷²

And again:

*"I repeat, that in my opinion there is no attempt to monopolize, and what, as I have said, in my judgment amounts to the same thing, that there is no combination in restraint of trade, until something is done with the intent to exclude strangers to the combination from competing with it in some part of the business which it carries on."*⁷³

This passage—to which *at least* four members of the Court subscribed—would seem to be decisive on the problem of the application of

⁷¹ *Id.* at 403 (italics added).

⁷² *Id.* at 406 (italics added).

⁷³ *Id.* at 409 (italics added). In order to round out the picture of Mr. Justice Holmes' view of the purpose and meaning of the Act, the following passage should be considered:

"There is a natural feeling that somehow or other the statute meant to strike at combinations *great enough to cause just anxiety on the part of those who love their country more than money*, while it viewed such little ones as I have supposed with just indifference. This notion, it may be said, somehow breathes from the pores of the act, although it seems to be contradicted in every way by the words in detail. And it has occurred to me that it might be that *when a combination reached a certain size it might have attributed to it more of the character of a monopoly merely by virtue of its size* than would be attributed to a smaller one. I am quite clear that it is only in connection with monopolies that size could play any part." *Id.* at 407 (italics added).

the Sherman Act to labor disputes. If the Sherman Act prohibits only the kind of agreements in restraint of trade which lead to monopolies, if "combinations in restraint of trade" and "monopolies" are, in fact, convertible terms under the Act, then, clearly, the Act is not applicable to labor *organizations*, unless we are ready to include them under the term "monopolies". But even if we should be ready to put labor *organizations* on a par with business combinations with respect to the term "monopolize" as used in the Act, the ordinary labor *dispute* would still be outside the purview of the Act, since under the Act as thus expounded:

"There is no combination in restraint of trade *until something is done with the intent to exclude strangers to the combination from competing with it in some part of the business which it carries on.*"

There are only two possible situations in which the Sherman Act could be said to be applicable to "labor troubles" under this interpretation: one is the case of a complaint by workers against a "closed union" having a "closed shop", that they were not being permitted to work in the industry; and the second is the case of a combination between a labor union and employers to exclude another labor union from the industry. Neither of these cases come within the ordinary definition of a "labor dispute".⁷⁴ Nor has the Act ever been applied in such a case as far as we know.

We may now turn to the consideration of the first case in which the Sherman Act *was* applied to a labor dispute by the Supreme Court.

VIII. THE DANBURY HATTERS' CASE⁷⁵

Loewe v. Lawlor was not a "great case" in the same sense as the *Northern Securities* case. There was no great array of counsel, nor any struggle within the Court. But that did not save it from making some very bad law, nor the only opinion rendered by the Court from being a very poor one. The unanimous opinion of the Court was delivered by Chief Justice Fuller; and coming after the opinions in the *Northern Securities* case it is little less than amazing. We have already referred to Professor Berman's opinion that this case was but poorly argued on behalf of the union involved, which permitted the Court to accept the garbled version of the congressional debates presented by counsel for the employer. But this could, at best, account for only part of the

⁷⁴ We need not consider here the definition of "labor dispute" contained in statutes like the Norris-LaGuardia Act, as those are designed for particular purposes and to meet special situations.

⁷⁵ *Loewe v. Lawlor*, 208 U. S. 274 (1908).

very bad story which this case tells. For the decision should not have turned—and indeed it did not turn exclusively—on the congressional debates. The decision, insofar as we can judge from the opinion delivered, was a combination of three elements: an utterly wrong statement as to the congressional debates and the *intention* of Congress as gathered therefrom, a wrong statement as to the common law applicable to labor unions, and the application of the *broad* construction, which the majority of the Court had decisively repudiated in the *Northern Securities* case. The last is particularly remarkable in view of the fact that Chief Justice Fuller, who delivered the opinion of the Court, was all along a staunch supporter of Justice White's narrow construction of the Sherman Act. This amazing *volte-face* on the part of the majority of the Court appears at the very beginning of the opinion, which commences with the bold statement:

"In our opinion, the combination described in the declaration is a combination 'in restraint of trade or commerce among the several states,' in the sense in which those words are used in the act, and the action can be maintained accordingly.

*"And that conclusion rests on many judgments of this court, to the effect that the act prohibits any combination whatever to secure action which essentially obstructs the free flow of commerce between the states, or restricts, in that regard, the liberty of a trader to engage in business."*⁷⁶

We need not cavil at the detail that there certainly were not *many* decisions of the kind. Our chief interest is in the relation of the construction of the Sherman Act here applied to those cases in which the problem of broad or narrow construction has been expressly debated or passed upon. Mr. Justice Fuller says on that score:

"United States v. Trans-Missouri Freight Asso., . . . United States v. Joint Traffic Asso., . . . and Northern Securities Co. v. United States . . . hold, in effect, *that the anti-trust law has a broader application than the prohibition of restraints of trade unlawful at common law.*"⁷⁷

This statement would be true with respect to the *Trans-Missouri* and *Joint Traffic* cases, but for the fact that, as already pointed out, Mr. Justice Brewer who had participated in those cases, had, in the *Northern Securities* case expressly repudiated the broad-construction doctrine as announced in those cases, thus joining the minority in the *Northern Securities* case in formally accepting the narrow-construction doctrine. Under the circumstances, it is perhaps only a minor detail that Chief Justice Fuller and Associate Justice White, who refused to

⁷⁶ *Id.* at 292-293 (italics added).

⁷⁷ *Id.* at 297 (italics added).

abide by the broad-construction doctrine when first announced in the *Trans-Missouri* case and consistently dissented whenever an attempt was made to apply that doctrine, did not *choose* to dissent in this case. More important is the fact that the statement made by the Chief Justice in behalf of the unanimous Court was utterly untrue as to the *Northern Securities* case. No broad-construction doctrine was announced in that case. On the contrary, it had been repudiated by a majority of the Court *as then and now constituted*. In that case Mr. Justice Harlan's opinion which advocated broad construction was announced on behalf of only four members of the Court. *Four other members vehemently and at great length dissented from it. And Mr. Justice Brewer, while concurring in the judgment, also expressly repudiated the broad-construction doctrine.* The group of the four dissenting judges, of which Mr. Justice Fuller was one, expressly agreed to Mr. Justice Holmes' opinion that the terms in question have the same meaning in the Sherman Act that they had at common law. Mr. Justice Brewer, while not expressly so stating, clearly was of the same view, as is shown by his express repudiation of the opinions of the majority in the *Trans-Missouri* and *Joint Traffic* cases in which the broad construction had been announced. All five were members of the Court which decided *Loewe v. Lawlor*.

No wonder Chief Justice Fuller shifted his ground from one theory to another—or at least sought to bolster up one theory by another, with the result that the opinion is so poorly written that one can hardly say what the theory underlying the decision is. Between his assertion that the decision is supported by former adjudications and the citation of those adjudications, he interpolates a sentence making the bold assertion that the combination before the Court was within the meaning of the term “combinations in restraint of trade” at common law. Before considering this remarkable assertion, however, we must pay some further respect to the argument from the congressional debates, which follows his examination of the cases. We have already noted his quotation of the paragraph from Judge Billings' opinion in the *Amalgamated Council* case, and his uncritical adoption of the same.⁷⁸ We have also quoted the passage in which Mr. Chief Justice Fuller introduced his quotation from Judge Billings' opinion.⁷⁹ That introductory passage deserves some further attention, and we therefore reproduce it here again. Said he:

“Nor can the act in question be held inapplicable because defendants were not themselves engaged in interstate commerce. The act made no distinction be-

⁷⁸ See page 1286, *supra*.

⁷⁹ See page 1287, *supra*.

tween classes. It provided that 'every' contract, combination, or conspiracy in restraint of trade was illegal. The records of Congress show that several efforts were made to exempt, by legislation, organizations of farmers and laborers from the operation of the act, and that all these efforts failed, so that the act remained as we have it before us."⁸⁰

This statement must be divided into two parts. The first part consists of the first two short sentences. The second part comprises the two longer sentences which follow. Let us consider them separately.

The first two sentences standing alone make no legal sense whatever. The statement "The act made no distinction between classes", whatever its rhetorical value, has no legal content, and is not of the slightest legal value as a reason for the statement contained in the first sentence. The significance of the fact that the defendants were not themselves engaged in interstate commerce does not lie in the fact that it puts them in a *separate class*, but that it takes them out of *competition with the plaintiff*. In other words, the contention which would exclude labor unions from the purview of the Sherman Act, insofar as it is based on the language of the Act itself, rests upon the legal proposition that at common law the doctrine of "in restraint of trade" applied only to a competitive field—*i.e.*, to cases in which the parties to the agreement or combination and the persons injured thereby were competitors. The contention, therefore, did not rest upon the claim that the defendants were a particular kind or class of *people*, but that the contract or combination involved was of a kind or class that was not included within the concept of agreements or combinations "in restraint of trade".

The only part of this passage which makes any sense is the second part. And the only sense that it makes is as an affirmation of the broad construction of the Act based on the word "*every*", bolstered up by a reference to the congressional debates as proof of the fact that the emphasis must be on "*every*" in Section 1 rather than on "*wrongful*" in the title of the Act. The real significance of this passage is, therefore, two-fold: A complete *volte-face* by a majority of the members of the Court from the position which they had taken in the *Northern Securities* case—a position never before relinquished by at least two of them, Chief Justice Fuller and Justice White—and an attempt to justify the broad interpretation of the Act by an appeal to the congressional debates, while reducing that appeal to an *ipse dixit*. But the appeal to the congressional debates only has meaning if a broad construction is *assumed*. The account of the debates given in the brief of Messrs. James M. Beck and Daniel Davenport, counsel for the plaintiff, was to the effect

⁸⁰ *Loewe v. Lawlor*, 208 U. S. 274, 301 (1908).

that all the attempts to *exempt* labor unions were finally rejected by the Senate. But that circumstance can only have significance in connection with the language of the Act. If the *legal meaning* of the language used was such as to exclude a particular class of people or a particular class of contracts, clearly the failure to adopt or the rejection of an amendment expressly exempting such persons or contracts was of no significance whatever. So that even if the account of the debates with which the courts were presented by counsel for the employers had been correct, it would have had significance only if the language of the statute itself were held to be broader than the common law. In other words, we are back again at the significance of the word "*Every*" with which the Sherman Act begins. And the passage quoted by Chief Justice Fuller from Judge Billings' opinion in the *Amalgamated Council* case proves it. That passage shall also be reproduced again. It runs:

"I think the congressional debates show that the statute had its origin in the evils of massed capital; but, when the Congress came to formulating the prohibition which is the yardstick for measuring the complainant's right to the injunction, it expressed it in these words: '*Every contract or combination* in the form of trust, or otherwise in restraint of trade or commerce among the several states or with foreign nations, is hereby declared to be illegal.' The subject had so broadened in the minds of the legislators that the source of the evil was not regarded as material, and the evil in its entirety is dealt with. They made the interdiction include combinations of labor, as well as of capital; in fact, all combinations in restraint of commerce, without reference to the character of the persons who entered into them. It is true this statute has not been much expounded by judges, but, as it seems to me, its meaning, as far as relates to the sort of combinations to which it is to apply, is manifest, and that it includes combinations which are composed of laborers acting in the interest of laborers."⁸¹

In other words, in Judge Billings' opinion, now adopted by the Supreme Court, the only significance of the congressional debates consisted in the fact that at their conclusion Congress had adopted language which compelled a broad construction. That may have been good enough for Judge Billings—but it put the majority of the Court, and particularly Chief Justice Fuller and Justice White, in a rather awkward position in view of their past history and possible future; not to speak of Mr. Justice Holmes, who, like the careful scholar that he was, spurned the use of such vague terms as "general law" and said "common law" each time. Hence the appeal to the common law, which we shall now consider. That appeal is contained in the following sentence:

⁸¹ United States v. Workingmen's Amalgamated Council, 54 Fed. 994, 996 (C. C. E. D. La. 1893) (*italics added*).

"The combination charged falls within the class of restraints of trade aimed at compelling third parties and strangers involuntarily not to engage in the course of trade except on conditions that the combination imposes; and there is no doubt that (to quote from the well-known work of Chief Justice Erle on *Trade Unions*) 'at common law every person has individually, and the public also has collectively, a right to require that the course of trade should be kept free from unreasonable obstruction.'"⁸²

Two things are of significance in this appeal to the common law: first, the authority picked as an interpreter of the common law; second, the language of the passage quoted from that authority.

This is not the place to discuss Sir William Erle's book on trade unions, nor his decisions on the subject of restraints of trade, both of which we shall have to discuss further below when we come to discuss the common law *as it actually was*. Suffice it to say here that, as Chief Justice, Sir William Erle had rendered some decisions which were rather unique, to put it mildly; and that as a historian of the common law he was not only unique but thoroughly discredited by the time Chief Justice Fuller picked him as an authority. Here is the opinion of an acknowledged authority in the field of legal history on Mr. Chief Justice Erle as a historian of the common law:

"It [Erle's book on *Trade Unions*] is written with consummate skill and knowledge of the subject, and will be found on examination to resolve itself shortly into the following result: the author conceives of the common law as including, though not entirely consisting of, a set of principles intuitively perceived to be good and just by jurists who flourished at almost any time, and who managed to get other jurists to accept their statements. From these principles flow rules which it is the duty of courts of justice to put into force, when and so far as facts brought under their notice require them so to do. That there should be a free course of trade is one of these principles. That combined efforts to defeat it in particular instances should be indictable conspiracies is one of the rules. The principle and the rule alike were thrown into the shade by the statutes collectively described as the Combination Laws; but upon the repeal of those laws they came forth in full force, and were rather declared than re-enacted by 6 Geo. 4, c. 129, which was founded upon and in its main provisions declaratory of the common law, though it provided summary modes of procedure unknown to the law. The act was to be interpreted in the light of these principles, as in fact it had been by the cases to which I have referred. In one sense this no doubt is perfectly true. It is a correct description of the way in which, as a fact, the courts did construe the act of 1825, and it *puts forward*, in justification of the course which they took in so construing it, a *view of the common law which is attractive to many people, but which seems to me almost entirely imaginary.*"⁸³

⁸² *Loewe v. Lawlor*, 208 U. S. 274 (1908) at 294-5 (italics added).

⁸³ III STEPHEN, *HISTORY OF THE CRIMINAL LAW OF ENGLAND* (1883) 223 (italics added).

Now as to Sir William Erle's language quoted by Chief Justice Fuller. It will be noticed that although the quotation is from a book on trade unions, there is nothing in the particular passage relating to trade unions. Nor is there anything in it relating to labor disputes. This is rather odd, to say the least, in view of the fact that the case before the court was a labor dispute and the defendant a labor union. The answer to the puzzle is *that the court chose to regard the question not as a labor dispute but as a problem of commerce*. We need not stop to consider whether it was justified in so doing, nor whether it actually succeeded insofar as its own opinion is concerned. The importance of this circumstance is that *the court chose to consider the case from a limited point of view, and it therefore has only limited application*. Its most important limitation is that it applied to boycotts only, *and not to strikes*.

We shall see further below that even in this limited application the decision was wholly erroneous. At this point, however, it is important not only to notice the limitation but the *reasons* for it, reasons which, to the court at least, seemed to justify the decision in the face of all the previous warnings of Justice White, concurred in by Chief Justice Fuller, that it would be unreasonable and contrary to the intentions of Congress—and even unconstitutional⁸⁴—to apply the Sherman Act to labor disputes. To begin with, boycotts *were* illegal at common law, even though their illegality had nothing to do with the question subsumed under the term “in restraint of trade” nor with anything else that properly comes within the purview of the Sherman Act. Secondly, throughout the entire opinion of the Court there is a slipshod—or, perhaps, skilful—disregard of the distinction between the kind of *persons* engaged in the controversy and the kind of *contract* or combination involved, the assumption being that both *legally* and *economically* there is no difference between the case of a person who is driven out of business by his competitors who monopolize the business for themselves, and the case of a person who is prevented from continuing his business by a labor union because of a dispute which he has with that union with respect to a labor contract. Having decided that we are dealing not with a labor dispute but a problem of the *sales of hats in interstate commerce*, having deliberately put to one side the original labor dispute which related to the manufacture of hats and having chosen to consider only *the movement of the hats in interstate commerce* after they had been manufactured and set in motion in that commerce, the Court managed somehow to square this decision with its previous decisions. We need not go into a consideration of the various squarings that were

⁸⁴ See Mr. Justice White's dissenting opinion in the *Northern Securities* case.

necessary and how well they were managed, except to say that having chosen to look at the hats *after* they started on their journey in interstate commerce, there was clearly no difficulty of squaring this decision with the *Hopkins* case, for instance. For that case dealt with *services*, while this case was decided on a theory that the services of the workers in making the hats was not involved in the dispute, but only the journey of the hats after they had been made. Not that the Court specifically made or consistently held to these nice distinctions so that everybody could see them: Chief Justice Fuller's opinion is anything but clear at any point, and when one gets through reading it, the only thing that is clear is the decision. Everything else is in a haze. But the outlines of the Court's theory may be discerned as through a glass darkly.⁸⁵

Before closing this discussion, we must revert for a space to Senator Edmunds and note two of his statements. The article in the *North American Review* crediting Mr. Edmunds with the authorship of the Sherman Act⁸⁶ had not yet appeared at the time of the decision in *Loewe v. Lawlor*. But Mr. Edmunds had been Chairman of the Judiciary Committee of the Senate at the time of its adoption, and his opinion, expressed in the *Inter-Ocean* interview,⁸⁷ therefore, naturally was of some weight even with those who had read Senator Hoar's statement about the authorship of the Sherman Act, since in the interview Edmunds discussed the meaning and not the authorship of the Act. And in addition to that interview there were his statements at the bar of the Supreme Court as one of the counsel for the railroads in the *Joint-Traffic* case. Let us examine these statements carefully.

In his interview, the reader will recall, Mr. Edmunds declared that the Act was "intended to and I think will cover every form of combination that seeks to in any way interfere or restrain *free competition*, whether it be capital in the form of trusts, combinations, *railroad pools or agreements*, or labor through the form of *boycotting* organizations

⁸⁵ The attempt in the text to make sense of the decision on the assumption that the Court considered the case as a conspiracy to stop the free sale of the hats after they had become interstate commerce is contradicted, however, by the following passage in the Court's opinion, which attempts to state the gravamen of plaintiff's complaint:

"That the conspiracy or combination was so far progressed that out of eighty-two manufacturers of this country engaged in the production of fur hats, seventy had accepted the terms and acceded to the demand that the shop should be conducted in accordance, so far as conditions of employment were concerned, with the will of the American Federation of Labor." 208 U. S. at 305.

Clearly, the "conspiracy" here referred to was a conspiracy to unionize the shops and to impose certain conditions of labor in the manufacture of the hats, and had nothing to do with their sale. And the situation as thus presented is exactly like the one which the Court had before it in the *Knight* case, wherein the combination had succeeded in controlling the manufacture of sugar.

⁸⁶ See page 1290, *supra*.

⁸⁷ See page 1290, *supra*.

that say *a man shall not earn his bread unless he joins this or that society. Both are wrong. Both are crimes, and indictable under the anti-trust law.*"

Let us analyze this statement to see what it actually means as an interpretation of the Sherman Act—*i.e.*, as to the *legal theory* behind it. The first thing to be noted is that Mr. Edmunds did not say that it applies to labor organizations generally, but expressly limited it to boycotts. Nor was this limitation accidental or careless. On the contrary, it was part of Mr. Edmunds' basic interpretation of the statute, which is, that it was designed to insure *free competition*. Of course, there is no competition between employers and employees—in so far as *competition* is concerned, their interests are *identical*. This is, in fact, the basis of the theory of the collaboration between capital and labor—that while an employer and employee may each strive to obtain a larger share of the *intake* of the business, they are united in interest as against all those who are in competition with the particular enterprise in which they are both engaged. But if that be so, the statute cannot apply to all boycotts, but only to those boycotts which interfere with free competition: to boycotts of each other by business men or workers, but not to boycotts instituted by employers against employees or employees against employers. And that is exactly what Mr. Edmunds says in his statement: he does not say that the statute will apply to boycotts by labor organizations, but to those organizations that say "a man shall not earn his bread unless he joins this or that society"—in other words, boycotts by workers *against workers by means of the closed shop*.

That such was Mr. Edmunds' theory of the Act is conclusively proven by his argument in the *Joint-Traffic Association* case. Mr. Edmunds must have been somewhat embarrassed in that argument by the statement quoted above, wherein he expressly stated that the Act would apply to railroad agreements—a construction which his clients and the other counsel in the case were strenuously combatting. His argument, therefore, suffers a great deal from what might be called too much subtlety. Nevertheless, his position is clear, and basically it is that *the terms used in the Sherman Act are those of the common law, and have their common law meaning*. He then proceeds to make an argument which is so subtle as to be devoid of any substance that one can grasp, in order to prove that notwithstanding the fact that the terms "agreement in restraint of trade" and "combination in restraint of trade" must be given their common law meaning, the word "every" includes *persons* or *classes of persons* which were not included in the common law definition of those terms, even though the kind of *agreements* or *combinations* must be those which were illegal at common law. We

need not stop here to consider this argument in all its elusiveness, bordering dangerously on nonsense from a linguistic point of view as well as from any other. The importance of this argument lies in the fact that it apparently was adopted by Chief Justice Fuller in *Loewe v. Lawlor*. If one reads very carefully Chief Justice Fuller's statement as to the intention of Congress,⁸⁸ one is struck by a sort of mystic significance given to the word "every" which is clearly traceable to Mr. Edmunds' subtle separation of "every" and "agreement". This explains, to a certain extent at least, how Mr. Justice Fuller could be a narrow constructionist and broad constructionist at one and the same time. In order to make *any* kind of sense out of this passage as well as out of the whole opinion, we must assume that Chief Justice Fuller was adopting Mr. Edmunds' construction of the Act, namely, that it must be broad enough to include all kinds of *persons*, even though it ought to be construed narrowly so as to give the terms used their common law meaning. That remarkable formula would include labor organizations while at the same time excluding business combinations of which Mr. Chief Justice Fuller approved—the latter being accomplished by the sleight-of-hand employed by Justice White in his *Trans-Missouri* opinion in substituting "general law" for "common law." The sentence "the act made no distinction between classes" stems directly from Mr. Edmunds. Mr. Edmunds may not have been the author of the Sherman Act, but he clearly was the progenitor of Chief Justice Fuller's opinion in *Loewe v. Lawlor*.⁸⁹ We need not, however, blame all the faults of Chief Justice Fuller's opinion on Mr. Edmunds. For Mr. Edmunds never claimed that the Sherman Act, the admitted purpose of which was to preserve free competition and to protect the public against monopolies, applied to any kind of boycott *except such as created a monopoly and destroyed competition between those in a competitive field*. The Court adopted only that part of his interpretation which included labor boycotts, but overlooked that portion which limited it to labor boycotts of a certain kind, namely, closed-shop agreements. That made hash, or rather stew, of the Sherman Act, such as even Mr. Edmunds could not swallow. As we shall see further below, Mr. Edmunds' theory of the common law of our subject like that of Mr. Justice Holmes, was *inaccurate*: one included an element foreign to it, while the other left out an element properly comprised within it. But the decision in *Loewe v. Lawlor* was based upon no definite theory whatever.

⁸⁸ See pages 1322-1333, *supra*.

⁸⁹ It is interesting to note that in his oral argument before the Supreme Court, Mr. Edmunds left out that portion of his argument in his printed brief which related to the subject of the applicability of the Sherman Act to labor. Compare his argument as it appears in the official reports of the case with the briefs on file in the Supreme Court.

IX. THE SHERMAN ACT ARRIVES AT THE AGE OF DISCRETION

The decision in *Loewe v. Lawlor* was handed down on February 3, 1908. As we have seen, the United States Supreme Court *unanimously* adopted the broad construction originally adopted by a bare majority in the *Trans-Missouri Freight* case—the decision in the *Trans-Missouri Freight* case being expressly referred to as authority and the broad construction adopted *eo nomine*. Within three years—on May 15, 1911—the broad construction so solemnly adopted was all but unanimously and very decisively repudiated again in the *Standard Oil Company* case,⁹⁰ and this repudiation was confirmed and made final in the *American Tobacco Company* case,⁹¹ decided two weeks later. These cases decisively repudiated the opinions of the Court in the *Trans-Missouri* and *Joint-Traffic* cases, and adopted the position of the minority in those cases. Mr. Justice White, who wrote the dissenting opinion in the *Trans-Missouri* case, now, as Chief Justice, wrote the opinions of the Court which officially announced the Rule of Reason contended for by him in the *Trans-Missouri* case, and all along since then, with the single exception of the *Danbury Hatters'* case. The only dissent now was that of Mr. Justice Harlan, the sole survivor of the majority in the *Trans-Missouri* and *Joint-Traffic* cases. Since the Rule of Reason has never been repudiated and is now presumably the law of the land, we must examine it closely as developed in Chief Justice White's long opinion in the *Standard Oil* case and amplified in his opinion in the *Tobacco* case.

The central point of the doctrine finally adopted by the Supreme Court is a concept of Freedom of Trade, supposed to be part of the English common law, and supposed to ban unreasonable restraints of trade while permitting reasonable ones. The rule is, therefore, really a Rule of Reasonableness, applied in the Light of Reason. The expressions "Rule of Reason" and "Light of Reason" are used interchangeably by the Chief Justice, and the Rule of Reason is to him always synonymous with the Rule of Reasonableness. This basic position is followed by another, also taken from the common law, namely, that "reasonableness" is a judicial question: it is for the courts to decide what is and what is not reasonable in a given set of circumstances. The Light of Reason in which this question is to be decided in each case, is, therefore, the Light of the Judges. The sum of all this is that each case must be decided by the judges *according to their own individual Lights*, without being bound by any set rules except in a negative way, as will be seen further below.

⁹⁰ *Standard Oil Co. v. United States*, 221 U. S. 1 (1911).

⁹¹ *United States v. American Tobacco Co.*, 221 U. S. 106 (1911).

Let us examine the elements out of which this doctrine is compounded. We naturally begin with the common law. But at the very threshold of the inquiry as to what *was* the common law, we are met with the ambiguity of the very term "common law". The Common Law is supposed to be a traditional system of law applied in the courts of England "from time immemorial". Its principles are supposed to be immutable, even though their application necessarily changes with changing conditions. The common law of 1776 was, according to this theory, the same as that which prevailed five hundred years earlier. But it must be applied according to the rulings in the latest decisions, as those are supposed to be the most authoritative expressions of its principles. So far, this is simple enough. But if we step over the line of demarcation marked by the year 1776, the matter becomes somewhat complicated, owing to the political events of that year. One of the great problems of our jurisprudence, at least in the early days of independence, was: did we inherit the *entire* body of the common law, and *who* inherited whatever *was* inherited? The answer finally adopted as the settled constitutional law of this country is, that we only inherited that part of the English common law which was *suitable to the conditions of the new world*, and that the inheritors were the several states. These principles of our constitutional law had three practical consequences: (1) that there is no such thing as federal common law, all federal law being exclusively statutory. (2) that the decisions of the English courts after 1776 are not part of *our common law*, even though they are part of the *English common law*. (3) what the common law of a particular subject is must be determined from the decisions of *our courts* as laid down since 1776, when our courts became free to determine for themselves what portions of the English common law were *suitable* to our conditions and therefore transplanted across the sea. Historical inquiries as to what the common law of England was before 1776 are always of the greatest importance, since that was the law that was transplanted *unless* it can be shown that a particular doctrine or portion of a doctrine was *unsuited* to our conditions. English decisions since 1776 may also be consulted for whatever light they may throw on the further development of certain doctrines of the common law, but they have no value except as *throwing light* upon our own common law in doubtful cases. When speaking of *the* "common law" we must, therefore, always make clear whether we mean the old common law of England—*i.e.*, the common law as it was prior to 1776—or the English common law as it is now, according to the recent English decisions, or *our* common law. Bearing this in mind, it is important to note that Senator Hoar, in his statement to the United States Senate that the purpose of the Act was

to embody the common law in a federal statute, since there was no federal common law, used the expression "the *old* doctrine of the common law".⁹² Senator Hoar was a very fine scholar, and the language used by him throughout this debate shows very great care in the choice of words. He was clearly speaking of the common law of England as it stood in 1776 or thereabouts—the common law of both England and this country. At any rate, whether or not he clearly had the problem of 1776 in mind, he certainly meant what he said, namely, the *old* common law, and not as it may have been changed recently either in England or in this country.⁹³

Chief Justice White, therefore, properly begins the inquiry by consulting the *old* common law as laid down by Coke and Hawkins, saying:

"Monopolies were defined by Lord Coke as follows:

"'A monopoly is an institution or allowance by the King by his grant, commission, or otherwise, to any person or persons, bodies politic or corporate, of or for the sole buying, selling, making, working, or using of anything, whereby any person or persons, bodies politic or corporate, are sought to be restrained of any freedom or liberty *that they had before*, or hindered in their *lawful trade*.' (3 Inst. 181.)

"Hawkins thus defined them:

"'A monopoly is an allowance by the King to a particular person or persons of the sole buying, selling, making, working, or using of anything whereby any person is sought to be restrained from any freedom (of manufacturing or trading) which he had before.' (Hawk. P. C. bk. 1, chap. 79.)"⁹⁴

By elaborating upon these texts and comparing them with certain English statutes, he comes to the following conclusions:

"Generalizing these considerations, the situation is this: 1. That by the common law, monopolies were unlawful *because of their restriction upon individual freedom of contract* and their injury to the public. 2. That as to necessities of life, the freedom of the individual to deal was restricted where the nature and character of the dealing was such as to engender the presumption of intent to bring about at least one of the injuries which it was deemed would *result from monopoly*,—that is, an undue enhancement of price. 3. That to protect the freedom of contract of the individual, not only in his own interest, but principally in the interest of the common weal, a contract of an individual

⁹² See page 1292, *supra*.

⁹³ As will be seen in Part II of this article, it really makes no difference, with respect to the applicability of the Sherman Act to labor disputes, which common law Senator Hoar had in mind, English or American, old or new. But it would make a difference in its application to business.

⁹⁴ *Standard Oil Co. v. United States*, 221 U.S. 1 (1911), at 51-52 (italics added).

by which he put an *unreasonable restraint upon himself* as to carrying on his trade or business was void. And that at common law the evils consequent upon engrossing, etc., *caused those things to be treated as coming within monopoly and sometimes to be called monopoly, and the same considerations caused monopoly, because of its operation and effect, to be brought within and spoken of generally as impeding the due course of, or being in restraint of, trade.*"⁹⁵

Having thus given his own version of the *old* common law, he proceeds to show that because of economic and industrial changes that common law had been considerably modified so as to allow many restraints of trade which had been disallowed by the old common law. Says he:

"From the development of more accurate economic conceptions and the changes in conditions of society, it came to be recognized that the acts prohibited by the engrossing, forestalling, etc., statutes did not have the harmful tendency which they were presumed to have when the legislation concerning them was enacted, and therefore did not justify the presumption which had previously been deduced from them, but, on the contrary, such acts tended to fructify and develop trade. . . . It is remarkable that nowhere at common law can there be found a prohibition against the creation of monopoly by an individual. *This would seem to manifest, either consciously or intuitively, a profound conception as to the inevitable operation of economic forces and the equipoise or balance in favor of the protection of the rights of individuals which resulted.*"⁹⁶

The "profound conception as to the inevitable operation of the economic forces" led to a *relaxation* of the common law rules so as to permit many things which were not permitted under the common law, thus turning the common law as laid down in Coke and Hawkins into the "general law" to which Mr. Justice White appealed in his *Trans-Missouri* opinion, and which he now reaffirms, without calling it by that name—presumably because he takes it from an English case, and in England it is still the common law. Says he:

"From the review just made it clearly results that outside of the restrictions resulting from the want of power in an individual to voluntarily and unreasonably restrain his right to carry on his trade or business, and outside of the want of right to restrain the free course of trade by contracts or acts which implied a wrongful purpose, freedom to contract and to abstain from contracting, and to exercise every reasonable right incident thereto, became the rule in the English law. The scope and effect of this freedom to trade and contract is clearly shown by the decision in *Mogul S. S. Co. v. McGregor*. . . ."⁹⁷

We need not inquire here by what right the Court substitutes the law as announced in an English case in 1891 for the "*old common law*"

⁹⁵ *Id.* at 54-55 (italics added).

⁹⁶ *Id.* at 55 (italics added).

⁹⁷ *Id.* at 56.

which was intended to be embodied in the Sherman Act by its framers in 1890, for, as we have already seen, Mr. Justice White never refers to the intentions of the framers, and as far as we can recall none of the judges who belonged to what might be called the White bloc on the Supreme Court ever appealed to the *intentions* of Congress, except Chief Justice Fuller in *Loewe v. Lawlor*.⁹⁸ We are not concerned here with the correctness of the Rule of Reason as finally laid down in the *Standard Oil* case but with one aspect its meaning. One thing is clear: whatever the rule that is embodied in the Sherman Act—whether the *old* common law rule as laid down by Coke and Hawkins, or a more *relaxed* rule evolved because of the “profound conception as to the inevitable operation of economic forces”—*nothing that was not prohibited at common law is prohibited by the Sherman Act*.

It is, therefore, unnecessary, for our present purposes, to examine into the “general law” which, according to the latest doctrine of the Court, has been embodied into the Sherman Act, for that law is more liberal than the common law, and our contention is that even upon a strict interpretation of the common law, the Sherman Act is inapplicable to labor disputes. All that is necessary, therefore, to prove that the Sherman Act is inapplicable to labor disputes, is to prove that labor disputes were not within the purview of either “monopolies” or agreements or combinations “in restraint of trade” under the common law. Before entering upon that examination, however, we shall state the Rule of Reason in its new formulation, as we believe that the new formulation has an element either not contained or not clearly brought out in its earlier formulation. As heretofore explained, the rule contended for by the narrow—constructionists places emphasis on the word “wrongful” in the title of the Sherman Act, and therefore proceeds upon the theory that agreements or acts coming before the Court must be judged as to their *wrongfulness* by an outside standard.⁹⁹ That outside

⁹⁸ As appears from the detailed review we have given of the cases in the Supreme Court, Chief Justice Fuller’s adherence to the White bloc was not constant, but since he started and finally ended as a member of that bloc we may consider him one of its members.

⁹⁹ The reluctance of the narrow-constructionist to refer to the debates in Congress, and to the legislative history of the Sherman Act generally, has resulted in their missing two important arguments for their position which could be based on the *change* in the title of the Act. It will be recalled that the title of Senator Sherman’s bill was “An Act to *Declare* Unlawful Trusts and Combinations in Restraint of Trade and *Production*.” (Italics added.) The bill as reported by the Judiciary Committee and as it now stands is “An Act to Protect Trade and Commerce Against Unlawful Restraints and Monopolies.” The significant changes are the leaving out of the words “declare” and “production.” The question in the *Knight* case was whether the Sherman Act applied to production where that production was intended for interstate commerce. The leaving out of the word “production” in the title of the bill would, therefore, seem to be of great significance. Nevertheless, it was not referred to by Chief Justice Fuller in his opinion. The later divisions in

standard, as we have seen, was furnished by the common law. Hence the continually recurring resort to the common law. But Mr. Justice White, who was usually the spokesman for the narrow-constructionist bloc on the Supreme Court, never referred to the common law, as already pointed out. The only definite assertion that the common law is *the* standard of wrongfulness under the Sherman Act is contained in Mr. Justice Holmes' dissenting opinion in the *Northern Securities* case. And it is significant that while Mr. Justice Holmes spoke on behalf of the entire group of four which included Mr. Justice White, that standard was not expressly adopted in the extensive opinion delivered in the same case by Mr. Justice White on behalf of the same group. The reason is obvious: Mr. Justice White was ready to subscribe to the opinion of Mr. Justice Holmes that nothing that was not wrongful at common law *could be* wrongful under the Sherman Act. However, he was not ready to accept the converse proposition that everything that was wrongful under the common law was illegal under the Sherman Act. His own rule, which was now adopted by the Court, is formulated by him as follows:

" . . . When the 2d section is thus harmonized with and made, as it was intended to be, the complement of the 1st, it becomes obvious that the criteria to be resorted to in any given case for the purpose of ascertaining whether violations of the section have been committed is *the rule of reason guided by the established law*. . . ."¹⁰⁰

As we read this important statement, "established law" is not merely a synonym for "general law", the term used by Mr. Justice White in his dissenting opinion in the *Trans-Missouri* case. Or if it is, the substitution is itself of significance. The meaning of it is this: in all of the previous discussion it was assumed, though never expressly stated, that the "general law" by which "wrongfulness" was to be measured was the general law as it existed at the time of the adoption of the Sherman Act. What Chief Justice White now desired to make clear by the substitution, either as a new element or as a clarification of his original thought, is that no standard of any kind was embodied in the Sherman Act itself—*i.e.*, *that the Sherman Act did not intend to freeze any state of the law*—but that the Act left it to the judges to apply a *movable* standard, the criterion of which should be the *established law at the time of the application of the Act*.

the Court turned on the question of whether or not the "unlawful" in the title had reference to practices which were unlawful by external standards or *made* unlawful by the Act. It would seem that in this connection the dropping of the word "declare" before "unlawful" was of the utmost importance. Nevertheless it was never referred to in the entire series of decisions.

¹⁰⁰ 221 U. S. at 61-62 (italics added).

This is perfectly consistent with Mr. Justice White's original theory, even on the assumption that it was not originally contained therein. Indeed, to use the felicitous expression of Mr. Justice Holmes in his dissenting opinion in the *Northern Securities* case, this "notion" of a moving standard "somehow breathes from the pores of"¹⁰¹ Mr. Justice White's theory. Let us look at it again: in the beginning there was a doctrine of Freedom of Trade which was embodied in the Common Law, which made that law frown upon agreements or combinations in restraint of trade, with certain exceptions. But in course of time, and in answer to "a profound conception as to the inevitable operation of economic forces" it was found that many things which had originally been banned as inimical to freedom of trade were in fact beneficial to that trade, and the rules were therefore relaxed so as to permit many things which were not permissible under the rules as originally formulated. The operation of economic forces has not stopped, of course. It is to be presumed that further changes will occur in the modes of doing business. It would, therefore, clearly, be absurd to freeze permanently the rules which had been announced in *Mogul Steamship Company v. McGregor*, or any other case or set of cases, since those rules might be found as deficient or inapplicable as the original rigid rules of the common law. The evolution of the general law has not stopped either in England or in this country. The courts are constantly busy formulating new rules or refining old rules applicable to business, as can be seen by the course of decision during the second half of the nineteenth century both here and in England. The only safe rule, therefore, is to consider "wrongful" under the Sherman Act whatever is considered "wrongful" by the "general law"—i.e., the combined common law of this country and England—as the same may be established *from time to time* by the courts.

As an abstract proposition, this rule is not without its logic; nor is it as startling as it may strike one at first glance. Indeed, it has since been adopted by many legislatures as a mode of legislation. But the real question is: is such an interpretation of the Sherman Act justified by the nature of the case or the circumstances of its adoption? And that brings us to Mr. Justice Harlan's dissenting opinion.

An examination of Mr. Justice Harlan's dissenting opinion in the *Standard Oil* case reveals the basic weakness of the position of the broad constructionists, due mainly, we feel bound to say, to their failure to grasp the real meaning of the principles of the common law of "restraints of trade", plus an unwillingness to apply these principles because of certain consequences, which cannot be gone into here. As a

¹⁰¹ Quoted in note 73, *supra*.

result, Mr. Justice Harlan's opinion in this case is a mere repetition of his former opinions in trust cases, consisting mainly of diatribes against combinations of capital and the dangerous consequences of their growth to the nation, and an appeal to the object and purposes which Congress had in mind in enacting the Sherman Act as a way of providing a remedy for that great evil. Like his earlier opinions, his opinion in the *Standard Oil* case is utterly devoid of any sound legal theory wherewith to combat successfully Chief Justice White's argument. Again the appeal is to "*Every*" as the fulcrum whereby Chief Justice White's elaborate structure is to be overthrown. Unfortunately, Mr. Justice Holmes had punctured that argument very neatly in his opinion in the *Northern Securities* case, in which he proved that "every" couldn't possibly mean "every", even according to Mr. Justice Harlan.

Let us look for a moment a little more closely at Mr. Justice Harlan's theory. According to this theory, the word "every" was used in order to make the prohibitions broader than those of the common law of agreements in restraint of trade. That is to say, *because* at common law certain agreements in restraint of trade were not prohibited, the word "every" was used in the Sherman Act so as to make sure that *all* agreements in restraint of trade would thereby be made illegal. We do not think that Mr. Justice Holmes was exactly fortunate in the choice of an example to prove that Mr. Justice Harlan could not possibly mean to invalidate all agreements in restraint of trade. He referred to an agreement of partnership between two competing truckmen operating between two states. Mr. Justice Harlan could answer that argument by saying that he did not worry about a lessening of competition by the coalescing of property, since he, like Mr. Justice White, believed in the "inevitable operation of economic forces and the equipoise or balance in favor of the individuals which resulted". What Mr. Justice Harlan objected to was the *artificial* restraints upon the "operation of economic forces" which were injurious to "the rights of individuals" and which were accomplished by means of agreements or combinations of persons who retained separate properties and who would, therefore, be in competition if the "economic forces" were permitted to operate according to their own laws. The common law recognized the difference between the act of an individual and that of a combination. And in that regard there is no difference between the amount of wealth or property or other power which the individual may possess. That rule, Mr. Justice Harlan could very well contend, was based on a sound view of the economic forces, which, when left to themselves, have a natural tendency to limit both wealth and power; while the artificial power which may be acquired by means of an agreement or combination is unlimited and can be arti-

ficially provided *ad hoc*. That is, in fact, the position which Mr. Justice Brewer took in the *Northern Securities* case.

But Mr. Justice Holmes could have illustrated the point in a manner which Mr. Justice Harlan could not very well have answered. Take, for instance, the case of an agreement of sale whereby *A* buys the business of *B*, with a collateral agreement whereby *B* agrees not to engage in competition with *A*. Under the common law such an agreement was legal. Such an agreement is, however, clearly in restraint of trade, in the sense that it prevents competition. Did Mr. Justice Harlan mean to say that this type of agreement was illegal under the Sherman Act? *Certainly not*. "*Every*", therefore, clearly does not mean "*every*", even on Mr. Justice Harlan's own interpretation of the Sherman Act. What does it mean, then? The common law has been ruled out as a standard of wrongfulness, since the Act is supposed to provide its own standard. For the same reason the "general law" must be ruled out quite aside from the fact that under the "general law", Mr. Justice Harlan would be worse off than under the common law. To this important question, Mr. Justice Harlan failed to give an answer.

Nor did Mr. Justice Harlan advance any social theory which could serve the purpose of combatting what has, in fact, become a Rule of Discretion—leaving the enforcement of the law to the discretion of the courts and permitting them to draw, from time to time, such rules for the differentiation between "good" and "bad" trusts as they may see fit. The course of judicial decision is not usually determined by the inner logic of the theories advanced in their support. But it is safe to say that Mr. Justice Harlan's utter helplessness in this matter, due to the lack of a legal theory upon which could be based a rule of decision eliminating court discretion, was in no small degree responsible for the general acquiescence in the Rule of Reason. This left the enforcement of the Sherman Act entirely to the discretion of the courts, with no tangible anchor to tie them to the text of the law itself, and no beacon except their own conscience and social and economic views to light the course of future judicial decision.

LOUIS B. BOUDIN

NEW YORK CITY